

BRIGHT MEDICAL AND BUSINESS COLLEGE

Department of management



Leadership and Change Management Module

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CHAPTER ONE

1. INTRODUCTION

The topic of leadership has been of interest for many hundreds of years, from the early Greek philosophers such as Plato and Socrates to the plethora of management and leadership gurus, whose books fill airport bookshops. Seldom, however, has the need for effective leadership been voiced more strongly than now. It is argued that in this changing, global environment, leadership holds the answer not only to the success of individuals and organizations, but also to sectors, regions and nations.

Change management is a *structured approach* to transitioning individuals, teams, and organizations from a current state to a desired future state, to fulfill or implement a vision and strategy. It is an organizational process aimed at empowering employees to accept and embrace changes in their current environment. There are several different streams of thought that have shaped the practice of change management. It is the formal process for organizational change, including a systematic approach and application of knowledge. Change management means defining and adopting corporate strategies, structures, procedures, and technologies to deal with change stemming from internal and external conditions.

1.1. Leadership Definition

In a recent review of leadership theory, Northouse identified four common themes in the way leadership now tends to be conceived: (1) leadership is a *process*; (2) leadership involves *influence*; (3) leadership occurs in a *group context*; and (4) leadership involves *goal attainment*.

He thus defines leadership as “a process whereby an individual influences a group of individuals to achieve a common goal.”

This is a good definition, but it still locates the individual as the source of leadership. A more collective concept of leadership arises out of a review by Yukl:

“Most definitions of leadership reflect the assumption that it involves a social influence process whereby intentional influence is exerted by one person [or group] over other people [or groups] to structure the activities and relationships in a group or organization.”

Even this definition, however, obscures as much as it reveals. Just what exactly is the nature of this ‘social influence’; how can it ‘structure’ activities and relationships; and when applied in a group setting who is the ‘leader?’

In short, leadership is a complex phenomenon that touches on many other important organizational, social and personal processes. It depends on a process of influence, whereby people are inspired to work towards group goals, not through coercion, but through personal motivation. Which definition you accept should be a matter of choice, informed by your own predispositions, organizational situation and beliefs, but with an awareness of the underlying assumptions and implications of your particular approach.

1.2. Leadership Vs Management

It has become fashionable over recent years to distinguish leadership from management.

Zalenznik began the trend of contrasting leadership and management by presenting an image of the leader as an artist, who uses creativity and intuition to navigate his/her way through chaos, whilst the manager is seen as a problem solver dependent on rationality and control. Since then the leadership literature has been littered with bold statements contrasting the two. Bennis and Nanus, for example, suggest that managers “do things right” whilst leaders do “the right thing” and Bryman argues that the leader is the catalyst focused on strategy whilst the manager is the operator/technician concerned with the “here-and-now of operational goal attainment”.

Central to most of these distinctions is an orientation towards change. This concept is well represented in the work of John Kotter who concluded that “management is about coping with complexity” whilst “leadership, by contrast, is about coping with change.” He proposed that good management brings about a degree of order and consistency to organizational processes and goals, whilst leadership is required for dynamic change (for a summary of his ideas).

The distinction of leadership from management as represented by Kotter and his contemporaries clearly encourages a shift in emphasis from the relatively inflexible, bureaucratic processes typified as ‘management’ to the more dynamic and strategic processes classed as ‘leadership’, yet even he concludes that both are equally necessary for the effective running of an organization. Despite the popular appeal of a distinction between leadership and management, however, there is some doubt as to whether they are really quite as separate as this in practice.

Firstly there is increasing resistance to the way in which such analyses tend to denigrate management as something rather boring and uninspiring. Joseph Rost, for example, highlights the need for consistency and predictability in many aspects of management and leadership behavior and concludes that “down with management and up with leadership is a bad idea”. Maintaining a sense of continuity during times of change is key to successful leadership.

Thus the leader must ensure that systems and structures remain in place that offer workers a sense of security and balance, without which it would be hard to maintain levels of motivation, commitment, trust and psychological wellbeing.

Secondly, much research evidence implies that, far from being separate, the practices described as ‘management’ and ‘leadership’ are integral parts of the same job. From detailed observations of what managers do, Mintzberg identified 10 key roles, of which one was ‘leadership.’ He concluded that far from being separate and distinct from management, leadership is just one dimension of a multifaceted management role. Much of the difficulty and confusion that arises from contrasting leadership and management is the manner in which they are often mapped to different individuals. Thus, we talk of ‘managers’ and ‘leaders’ as if they were different (and to a large extent incompatible) people – we consider leaders as dynamic, charismatic individuals with the ability to inspire others, whilst managers are seen as bureaucrats who just focus on the task in hand. Such a view, however, does not coincide well with the lived experience of being a manager.

People are generally recruited into ‘management’, rather than ‘leadership’, positions and are expected to complete a multitude of tasks ranging from day-to-day planning and implementation, to longer-term strategic thinking. None of these are done in isolation and throughout, it is essential to work alongside other people – to motivate and inspire them, but also to know when to relinquish the lead and take a back seat.

In conclusion, whilst the distinction between management and leadership may have been useful in drawing attention to the strategic and motivational qualities required during periods of change, the bipolar representation of managers and leaders as completely different people can be misleading and potentially harmful in practice. Indeed, if it is believed that leaders and managers are different people, one might well conclude that (a) it is necessary to change the management team regularly as circumstances change, and (b) it is not possible for managers to become leaders (and vice versa). Such a view is severely limiting and greatly underestimates the abilities of people in management and leadership roles.

This is not to say, however, that all people will be equally adept at all aspects of leadership and management, nor that there is one profile that is appropriate in all situations (these are issues that will be discussed in the next section on *Theories of Leadership*) but that to achieve maximum effect we should seek to recruit and develop ‘leader-managers’ capable of adopting the role in its most holistic form. It is for this reason that we will use the words ‘management’ and ‘leadership’ and ‘manager’ and ‘leader’ largely interchangeably throughout the rest of this section.

- **Activity 1:** Argue whether leadership is necessarily better than management or a replacement for it: or rather, leadership and management are two distinctive and/or complementary activities. _____

“Leadership is different from management, but not for the reason most people think. Leadership isn't mystical and mysterious. It has nothing to do with having charisma or other exotic personality traits. It's not the province of a chosen few. Nor is leadership necessarily better than management or a replacement for it: rather, leadership and management are two distinctive and complementary activities. Both are necessary for success in an increasingly complex and volatile business environment.”

Table 1.1 Leadership and management functions

	Leadership functions	Management functions
Creating an agenda	<i>Establishing direction:</i> Vision of the future, develop strategies for change to achieve goals	<i>Plans and budgets:</i> Decide action plans and timetables, allocate resources
Developing people	<i>Aligning people:</i> Communicate vision and strategy, influence creation of teams which accept validity of goals	<i>Organizing and staffing:</i> Decide structure and allocate staff, develop policies, procedures and monitoring
Execution	<i>Motivating and inspiring:</i> Energize people to overcome obstacles, satisfy human needs	<i>Controlling, problem solving:</i> Monitor results against plan and take corrective action
Outcomes	Produces positive and sometimes Dramatic change	order, consistency and predictability

1.3. What Makes Effective Leader

As with most popular sayings, there is some truth in the axiom, “Great leaders are born, not made.” To some extent, the capacity for great leadership is innate. However, learning how to be a more effective leader is within everyone’s grasp – whether you lead multiple teams, an entire company or just one staff member.

— **Activity 2:** In your opinion, what makes people to be an effective leader? _____

Here are a few of the qualities and traits of great leaders that you can learn and practice:

- **Self-assessment:** Effective leaders periodically take stock of their personal strengths and shortcomings. They ask: “What do I like to do? What am I really good at?” “What are my areas of weakness, and what do I dislike doing?” Knowing your areas of weakness does not make you weak; on the contrary, it allows you to delegate to others who have those abilities, in order to achieve the common goal. Rather than clinging to the false belief that they can do it all, great leaders hire people who complement, rather than supplement,

their skills. Working on your areas of weaknesses will improve your leadership ability – and recognizing them makes you more human.

- **Sharp perception:** Do you know how people really perceive you? Effective leaders do. They have an easy level of honest communication with their teams and their peers, and a thorough understanding of how they are perceived. Testing others' perception of you can be as simple as observing their behavior. Are your co-workers and team members relaxed around you? Does all conversation stop when you enter the room?

If you really want to know what people think, just ask them. You may receive feedback that you're not listening or showing appreciation as well as you could be. If you've established an environment of honest and open communication, you should be able to ask about your good qualities and the areas you need to improve on. Your staff will appreciate your effort.

- **Responsive to the group's needs:** Being perceptive can also help a leader be more effective in knowing the needs of the team. Some teams value trust over creativity; others prefer a clear communicator to a great organizer. Building a strong team is easier when you know the values and goals of each individual, as well as what they need from you as their leader.
- **Knowing the organization:** Effective leaders know the organization's overall purpose and goals, and the agreed-upon strategies to achieve these goals; they also know how their team fits into the big picture, and the part they play in helping the organization grow and thrive. Full knowledge of your organization – inside and out – is vital to becoming an effective leader.

Becoming an effective leader is not a one-time thing. It takes time to learn and practice leadership skills until they become a part of you. Enrolling in *negotiation courses, online business courses and leadership certification courses* demonstrates a commitment to upgrading your skills and improving your leadership abilities.

When you practice these leadership skills, you can become more effective at any stage of your career, regardless of the size of your organization. There are opportunities to learn leadership skills all around you; take advantage of them to improve your career and leadership prospects.

1.4. Importance of Leadership for Good Governance and Development

Governance was created out from the word govern, which means; to rule a country, to control or direct the public affair of a city, control, influence something or somebody and to determine something. Governance is the activity or manner of governing. On the other hand, leadership was also created out from the word leader, which means, someone who shows people or something, the way to follow, especially by going in the front, to hold and guiding someone or a group of people to a particular direction.

Having taking cognizance of the both words, it is obvious that they are pointing at the same thing, and that is direction and leading. This means that, in leadership and governance, the followers look up to the leader, hold him high esteem, trust him because he is the eyes with which they see. Now, a good leader or governor will not disappoint his followers, he must have the interest of his people at heart, he must be passionate, feel the pains of the poor, hear the cry of the helpless and come for help, create job opportunities for jobless people. A good leader must be able to render selfless service and desist from selfishness, he must make provision for training and empowering his people and encourage self employment, he must be serious with issues that concerns the youths as they are the future leaders and should not look down on the adults.

At all costs, good governance and leadership promotes education, agriculture, ensure stability of power, construct good roads for safe and easy transportation and make the cost of transportation affordable especially for people in rural areas, provide good water, good security system, and make the cost of living affordable for the masses. Ensure peace, unity and maintain transparency.

Summary

It is argued that in this changing, global environment, leadership holds the answer not only to the success of individuals and organizations, but also to sectors, regions and nations. Northouse (2004) identified four common themes in the way leadership now tends to be conceived: (1) leadership is a *process*; (2) leadership involves *influence*; (3) leadership occurs in a *group context*; and (4) leadership involves *goal attainment*

Mintzberg concluded that far from being separate and distinct from management, leadership is just one dimension of a multifaceted management role.

There are a few of the qualities and traits of great leaders that you can learn and practice: Self-assessment, Sharp perception, Responsive to the group's needs and knowing the organization while Business courses that offer leadership certification often include: Communication, Motivating teams ,Team building, Risk taking and Vision and goal setting.

At all costs, good governance and leadership promotes education, agriculture, ensure stability of power, construct good roads for safe and easy transportation and make the cost of transportation affordable especially for people in rural areas, provide good water, good security system, and make the cost of living affordable for the masses

Self- Assessment Questions

I. Say true for correct statements otherwise say false

1. Leader should positively or negatively influence their followers
2. Change management is a structured approach helps to transform organizations from a current state to a desired future state.
3. Leaders can be managers and vice versa
4. Leaders should have an easy level of honest communication with their teams and their peers

II. Choose the best answer

1. Which one of the following will be the self assessment question?
 - A. What do I like to do?
 - B. What am I really good at?" "
 - C. What are my areas of weakness, and what do I dislike doing
 - D. All of the above
2. All of the following are qualities and traits of great leaders except:
 - A. Sharp perception
 - B. Self assessment
 - C. Responsive to the group's needs
 - D. Lazes fair
 - E. None
3. Which of the following is a function of leadership?
 - A. Aligning
 - B. Giving direction
 - C. Controlling
 - D. Motivating

III. Discuss the following questions accordingly

1. Define leadership in different contexts
2. identified four common themes in the way leadership is conceived
3. Distinguish the difference between leadership and management
4. Discuss few of the qualities and traits a great leaders should possess
5. Discuss the importance of leadership for good governance and development

CHAPTER TWO

LEADERSHIP THEORIES AND STYLES

2.1. Introduction

To understand leadership as it is viewed and practiced today, it is important to recognize that the concept of leadership has changed over time. As a student of management and as a responsible leader in life and work, you must understand and be able to discuss these theories. This unit discusses different leadership theories, leadership styles, competencies of leadership, and good vs. bad leader.

2.2. Leadership Theories

Activity 3: Why are some leaders successful, while others fail? _____

Dear student, the truth is that there is no "magic combination" of characteristics that makes a leader successful, and different characteristics matter in different circumstances. This doesn't mean, however, that you can't learn to be an effective leader. You just need to understand the various approaches to leadership, so that you can use the right approach for your own situation.

One way of doing this is to learn about the core leadership theories that provide the backbone of our current understanding of leadership.

A number of different leadership theories have been introduced to explain exactly how and why certain people become great leaders. People have long been interested in leadership throughout human history, but it has only been relatively recently that a number of formal leadership theories have emerged. Interest in leadership increased during the early part of the twentieth century.

Ideas of many leadership theories are still applicable to leadership studies today. Early leadership theories focused on what qualities distinguished between leaders and followers, while subsequent theories looked at other variables such as situational factors and skill levels. The most

widespread ones' are Great Man leadership theory, trait leadership theory, behavioral leadership theory, contingency leadership theory, transactional leadership theory, and transformational leadership theory. Each of which is briefly described below.

2.2.1. Great Man Theory

The 'great man' theory was originally proposed by Thomas Carlyle. This is the granddaddy of leadership concepts. The earliest studies of leadership adopted the belief that leaders (*who were always thought of as male*) were born with certain *heroic leadership traits* and natural abilities of power and influence.

Dear students, have you ever heard someone described as "born to lead?" According to this point of view, great leaders are simply born with the necessary internal characteristics such as charisma, confidence, intelligence, and social skills that make them natural-born leaders.

Early research on leadership was based on the study of people who were already great leaders. These people were often from the aristocracy, as few from lower classes had the opportunity to lead. This contributed to the notion that leadership had something to do with breeding. The term "Great Man" was used because, at the time, leadership was thought of primarily as a male quality, especially in terms of military leadership.

Gender issues were not on the table when the 'Great Man' theory was proposed. Most leaders were male and the thought of a Great Woman was generally in areas other than leadership. Most researchers were also male. In organizations, social movements, religions, governments, and the military, leadership was conceptualized as a single "Great Man" who put everything together and influenced others to follow along based on the strength of inherited traits, qualities, and abilities

Assumptions:

Great man theories assume that the capacity for leadership is inherent – that great leaders are born not made.

Great leaders will arise when there is a great need.

2.2.2. Trait Theory

This theory was also one of the earliest theories on leadership. Leadership research in the 1920s and 1930s focused on isolating leader traits—that is, characteristics- that would differentiate leaders from nonleaders.

Similar in some ways to Great Man theories, trait theories assume that people inherit certain qualities and traits that make them better suited to leadership. Trait theories often identify particular personality or behavioral characteristics shared by leaders.

Trait theories argue that effective leaders share a number of common personality characteristics, or "traits."

Trait theory states that specific characteristics or traits are *essential for good leadership* and that they are *situation-independent*.

Trait theory helps us identify traits and qualities (for example, integrity, empathy, assertiveness, good decision-making skills, and likability) that are helpful when leading others.

Assumption: There are *specific traits* associated with *leadership effectiveness*.

If particular traits are key features of leadership, then how do we explain people who possess those qualities but are not leaders? This question is one of the difficulties in using trait theories to explain leadership. There are plenty of people who possess the personality traits associated with leadership, yet many of these people never seek out positions of leadership. Although research failed to produce a list of traits that would always guarantee leadership success, the interest in leadership characteristics has continued to the present day.

— **Activity 4:** What traits do you think critical to leaders effectiveness or success? _____

Dear students, according to trait theory, certain qualities such as intelligence, sense of responsibility, creativity, emotional stability, fluency of speech, and other values puts anyone in the shoes of a good leader.

Stogdill (1974) and McCall and Lombardo (1983) also identified traits related to effective leaders as mentioned below.

Stogdill (1974) identified traits that are critical to leaders. These are

Traits

- * Adaptable to situations
- * Alert to social environment
- * Ambitious and achievement-orientated
- * Assertive
- * Cooperative
- * Decisive
- * Dependable
- * Dominant (desire to influence others)
- * Energetic (high activity level)
- * Persistent
- * Self-confident
- * Tolerant of stress
- * Willing to assume responsibility

McCall and Lombardo (1983) researched both success and failure identified four primary traits by which leaders could succeed or 'derail':

1. **Emotional stability and composure:** Calm, confident and predictable, particularly when under stress.
2. **Admitting error:** Owning up to mistakes, rather than putting energy into covering up.
3. **Good interpersonal skills:** Able to communicate and persuade others without resort to negative or coercive tactics.
4. **Intellectual breadth:** Able to understand a wide range of areas, rather than having a narrow (and narrow-minded) area of expertise.

However, none of these traits, nor any specific combination of them, will guarantee success as a leader.

2.2.3. Behavioral Theories

Researchers eventually recognized that traits alone were not sufficient for identifying effective leaders since explanations based solely on traits ignored the *interactions of leaders and their group members* as well as *situational factors*.

The failure to identify a universal set of leadership traits led researchers in the early 1950s to begin looking at *what a leader does*, rather than *who he or she is*. Behavioral theories focus on how leaders behave. For instance, do leaders dictate what needs to be done and expect cooperation? Or do they involve their teams in decision-making to encourage acceptance and support?

Behavioral theories of leadership are based upon the belief that great leaders are made, not born. Consider it the flip-side of the Great Man theories. They are those theories that propose *specific behaviors* differentiate leaders from non-leaders. They focus on the actions of leaders not on mental qualities or internal states. According to these theories, people can *learn* to become leaders through teaching and observation.

Diverse research programs on leadership behavior have sought to discover the behaviors that leaders engage in rather than what traits a leader possesses. Behaviors can be learned more readily than traits, enabling leadership to be accessible to all.

Assumption

Leaders can be made, rather than are born.

Successful leadership is based in definable, learnable behavior.

Clearly, how leaders behave affects their performance. Researchers have realized, though, that many of these leadership behaviors are appropriate at different times. The best leaders are those who can use many different behavioral styles, and choose the right style for each situation.

In the 1940 and 1950, scholars from Ohio State University launched an intensive research investigation to answer the question: *What behaviors make leaders effective?* This study distilled **two clusters of leadership behaviors**: people oriented and task-oriented leadership behaviors.

i. People-oriented leadership behavior included showing *mutual trust and respect* for subordinates and demonstrating a *genuine concern for their needs*. Leaders with a strong people-oriented style listen to employees suggestions, do personal favor for their employees, support their interests when required, and treat employees as equals. People-oriented leadership is associated with *higher job satisfaction* among subordinates, as well as *lower absenteeism, grievances, and turnover*.

ii. Task-oriented leadership. The other cluster represented a task-oriented leadership style and included behaviors that define and structure work roles. Task-oriented behavior, involves planning, organizing, and coordinating the work of subordinates. Task-oriented leaders *assign employees to specific tasks, clarify their work duties and procedures*, ensure that *they follow rules*, and *push* them to reach their performance capacity. Task oriented leadership is associated with *lower job satisfaction*, as well as *higher absenteeism and turnover*.

Managerial Grid (or Leadership Grid)

One concept based largely on the behavioral approach to leadership effectiveness was the Managerial (or Leadership) Grid. Leaders may be concerned for their people and they also must also have some concern for the work to be done. The question is, how much attention to they pay to one or the other? This is a model defined by Blake and Mouton in the early 1960s. The Managerial Grid was the original name. It later changed to the Leadership Grid.

Concern for People	High	Country Club management		Team management
	Medium		Middle of the road management	

	Low	Impoverished management		Authority-compliance
		Low	Medium	High
		Concern for Production (Task)		

Figure 2.1 Model of Managerial Grid

The grid combines "concern for production" with "concern for people" and presents five alternative behavioral styles of leadership.

- i. Impoverished management: Minimum effort to get the work done. A basically lazy approach that avoids as much work as possible.
- ii. Authority-compliance: Strong focus on task, but with little concern for people. Focus on efficiency, including the elimination of people wherever possible.
- iii. Country Club management: Care and concern for the people, with a comfortable and friendly environment and collegial style. But a low focus on task may give questionable results.
- iv. Middle of the road management: A weak balance of focus on both people and the work. Doing enough to get things done, but not pushing the boundaries of what may be possible.
- v. Team management: Firing on all cylinders: people are committed to task and leader is committed to people (as well as task).

2.2.4. Contingency Leadership Theory

The failure to find universal leader traits or behaviors that would always determine effective leadership led researchers in a new direction. Although leader behavior was still examined, the central focus of the new research was the *situation* in which leadership occurred.

Researchers next began to consider the contextual and situational variables that influence what leadership behaviors will be effective. Contingency theories emphasize that leadership cannot be understood in a vacuum separate from various elements of the group or organizational situation.

Thus, the effectiveness of leader behavior is *contingent* upon organizational situations. **Contingency** means “it depends.” Contingency means that *one thing depends on other things*.

Assumption: The leader's ability to lead is contingent upon various situational factors.

Contingency theories of leadership focus on particular variables related to the environment that might determine which particular *style of leadership* is best suited for the situation.

Contingency theories differ from the earlier trait and behavioral theories in asserting that *no single way of leading works in all situations*. Contingency theories contend that *there is no one best way of leading* and that a leadership style that is effective in some situations may not be successful in others. Leaders who are very effective at one place and time may become unsuccessful either when transplanted to another situation or when the factors around them change. This helps to explain how some leaders who seem for a while to have the 'Midas touch' suddenly appear to go off the boil and make very unsuccessful decisions.

Initiative, for example, may contribute to the success of a leader in one situation, but it may be irrelevant to a leader in another situation. Thus, possessing certain personal characteristics is no guarantee of success.

For a leader to be effective there must be an appropriate fit between the leader's behavior and style and the conditions in the situation.

Leaders must be both *insightful* and *flexible*. They must be able to *adopt* their behaviors and styles to the immediate situation. Considerable effort is needed to learn *when and how to alter* one's leadership style to fit or match the situation.

The idea behind contingency theories is that leaders can *analyze their situation* and *tailor their behavior* to improve leadership effectiveness.

Activity 5: Let you identify situational variables that affect leaders' effectiveness. _____

According to this theory, no leadership style is best in all situations. Success depends upon a number of variables, including the leadership style, qualities of the followers and aspects of the situation.

Yukl (1989) also identifies six variables as follow:

1. *Subordinate effort*: the motivation and actual effort expended.
2. *Subordinate ability and role clarity*: followers knowing what to do and how to do it.
3. *Organization of the work*: the structure of the work and utilization of resources.
4. *Cooperation and cohesiveness*: of the group in working together.
5. *Resources and support*: the availability of tools, materials, people, etc.
6. *External coordination*: the need to collaborate with other groups

2.2.5. Transactional Leadership Theory

This approach assumes that people do things for reward and for no other reason. Therefore, it focuses on designing tasks and reward structures.

Transactional leadership is based on *contingency*, in that reward or punishment is contingent upon performance. It focuses on the role of *supervision*, *organization* and *group performance*. This theory bases leadership on a system of **rewards** and **punishments**. It is often used in business; when employees are successful, they are rewarded; when they fail, they are reprimanded or punished.

Transactional leadership is 'managing'– helping organizations **achieve their current objectives** more efficiently, such as *linking* job performance to *valued rewards* and ensuring that employees

have resources needed to get the job done. Transactional leadership is *inspiring commitment* to achieve objectives in exchange for something of value.

Assumptions

People are motivated by reward and punishment.

The prime purpose of a subordinate is to do what their manager tells them to do.

Most classical leadership theories are concerned *with transactional leaders*, who use legitimate, coercive, or reward powers to elicit obedience. Transactional leaders do not generate passion and excitement, and they do not empower or inspire individuals to transcend their own self-interest for the good of the organization.

When the Transactional Leader allocates work to a subordinate, they are considered to be fully responsible for it, whether or not they have the resources or capability to carry it out. When things go wrong, then the subordinate is considered to be personally at fault, and is punished for their failure (just as they are rewarded for succeeding).

Despite much research that highlights its limitations, transactional leadership is still a popular approach with many managers. Indeed, in the leadership vs. Management spectrum, it is very much towards the management end of the scale.

While this may not be the most appealing leadership strategy in terms of building relationships and developing a highly motivating work environment, it often works, and leaders in most organizations use it on a daily basis to get things done.

Characteristics of Transactional Leaders

- Offer reward to followers in exchange for complying with the leader's wishes and directives.
- Closely monitor followers to ensure that performance problems are detected and if necessary penalize followers for these problems.

- Establish a relationship with followers that is utilitarian and calculative, whereby each party seeks its own benefit rather than trying to reach an ideal.

2.2.6. Transformational Leadership Theory

Beginning in the 1970s, a number of leadership theories emerged that focused on the importance of a leader's charisma to leadership effectiveness.

Transformational leadership theory focuses on attempting to explain how leaders can *accomplish extraordinary things against the odds*, such as turning around a failing company, founding a successful company, or achieving great military success against incredible odds. The theories also emphasize the importance of leaders inspiring subordinates' admiration, dedication, and unquestioned loyalty through articulating a clear and compelling vision.

It focuses upon the *connections* formed between leaders and followers. Transformational leaders motivate and inspire people by helping group members see the importance and higher good of the task. These leaders are focused on the performance of group members, but also want each person to fulfill his or her potential. Leaders with this style often have high ethical and moral standards.

Transformational leaders show integrity, and they know how to develop a robust and inspiring vision of the future. They motivate people to achieve this vision, they manage its delivery, and they build ever stronger and more successful teams.

Assumptions

People will follow a person who inspires them.

A person with vision and passion can achieve great things.

The way to get things done is by injecting enthusiasm and energy.

Transactional leadership focuses on role and task requirements and utilizes rewards contingent on performance. By contrast, transformational leadership focuses on developing mutual trust,

fostering the leadership abilities of others, and setting goals that go beyond the short-term needs of the work group.

Bass's transformational leadership theory identifies four aspects of effective leadership, which include *charisma*, *inspiration*, *intellectual stimulation*, and *consideration*. A leader who exhibits these qualities will inspire subordinates to be *high achievers* and put the long-term interest of the organization ahead of their own short-term interest, according to the theory.

Transformational leaders are those leaders who *translate a vision into reality* and motivate people to rise above their personal interests for the good of the group. Followers come to define their needs and expectations more broadly, in terms of the group rather than self-interests. In addition to *articulating a vision* and *communicating that vision* to subordinates, transformational leaders *build trust* by being dependable, consistent, and persevering.

Transformational leaders are ***agents of change*** who energize and direct employees to a new set of corporate values and behaviors.

Too many leaders *involve themselves to the maximum in daily managerial activities* (transactional leader job) and *lose touch* with the transformational aspect of effective leadership. Without transformational leaders, organizations *stagnate and do not fit* with their environments.

Characteristics of transformational leaders are

- Inspire other people to follow a vision articulated by the leader.
- Make followers feel good and proud about identifying with leader.
- Make followers trust the leader, sacrificing themselves if necessary to accomplish the leader's agenda.
- Make followers question status quo, buying into the leader's solutions to problems associated with current state of affairs.
- Make followers feel that their individual needs and abilities are understood by the leader and that the leader empowers them and energizes them to get better.

Organizations need both transactional and transformational leaders. Transactional leadership improves *organizational efficiency*. Transformational leadership steers organization onto a better course of action.

2.2.7. Servant Leadership

Servant leadership is a philosophy and set of practices that enriches the lives of individuals, builds better organizations and ultimately creates a more just and caring world. Servant leadership has not been subjected to extensive empirical testing but has generated considerable interest among both leadership scholars and practitioners.

While servant leadership is a timeless concept, the modern servant leadership movement was launched by Robert K. Greenleaf in 1970 with the publication of his classic essay, *The Servant as Leader*. "The servant-leader is servant first... It begins with the natural feeling that one wants to serve, to serve *first*. Then conscious choice brings one to aspire to lead. That person is sharply different from one who is *leader* first, perhaps because of the need to assuage an unusual power drive or to acquire material possessions. The leader-first and the servant-first are two extreme types.

Activity 6: What does servant leader mean to you? _____

This approach to leadership reflects a philosophy that leaders should be servants first. It suggests that leaders must *place* the needs of subordinates, customers, and the community *ahead of their own interests* in order to be effective. Put the needs of others first and helps people develop and perform as highly as possible. It is about identifying and meeting the needs of colleagues, customers, and communities.

A servant-leader focuses primarily on the growth and well-being of people and the communities to which they belong.

While traditional leadership generally involves the accumulation and exercise of power by one at the “top of the pyramid,” servant leadership is different. The servant-leader shares power, puts the needs of others first and helps people develop and perform as highly as possible.

Characteristics of servant leaders

If there is a single characteristic of the servant-leader that stands out in Greenleaf's essay, it is the *desire to serve*. A walk through *The Servant as Leader* provides a fairly long list of additional characteristics that Greenleaf considered important. They include

- listening and understanding
- acceptance and empathy
- foresight
- awareness and perception
- persuasion
- conceptualization
- self-healing
- rebuilding community

Scholars are also identifying characteristics of servant leadership in order to develop and test theories about the impact of servant leadership. For example, Robert C. Liden and his colleagues identified nine dimensions of servant leadership that they used in their research:

- * emotional healing
- * creating value for the community
- * conceptual skills
- * empowering
- * helping subordinates grow and succeed
- * putting subordinates first
- * behaving ethically
- * relationships, and
- * servanthood

Finally, you can become a more effective leader by learning about different leadership theories.

2.3. Leadership Styles

Introduction

From the discussion of leadership, we turn now to the dynamic interaction between a leader and other people. The perceived approaches and behaviors a manager uses to influence others constitute the *manager's leadership style*. Several different approaches to describing leadership styles have developed over the years. Most of these involve how much authority and control the leader turns over to the group.

Leadership style can be defined broadly as the manner and approach of providing *direction*, *implementing plans*, and *motivating people*.

It is the typical pattern of behavior that a leader uses to influence his or her employees to achieve organizational goals.

Managers' leadership styles result from their philosophies about **motivation**, their choices of **decision-making styles**, and their **areas of emphasis in the work environment**—whether they focus on tasks or people.

2.3.1. Positive versus Negative Motivation

Leaders influence others to achieve goals through their approach to motivation. Depending on the style of the manager, the motivation can take the form of *rewards* or *penalties*.

Positive leadership style differs from negative leadership style as follow:

Positive leadership style encourages development of employees and result in higher levels of job satisfaction. Leaders with positive styles use *positive motivators*. They motivate by using *praise*, *recognition*, or *monetary rewards* or by *increasing security* or granting *additional responsibilities*.

A negative leadership style incorporates coercion known as *sanctions*—*fines*, *suspensions*, *termination*, and the like. The manager who says, “Do it my way or else” employs negative motivation. Implied in the statement is the manager's willingness to exercise disciplinary powers; the subordinate's failure to comply would be an act of insubordination.

The result of negative leadership may be an environment of fear, where managers are viewed with *distrust* and seen as *dictators* rather than leaders or team players.

2.3.2. Decision-Making Styles

Another element in a manager's leadership style is *the degree to which he or she shares decision-making authority with subordinates*. Managers' styles range from not sharing at all to completely delegating decision-making authority.

In the 1930s, Kurt Lewin and his colleagues conducted studies at university of Iowa that concentrated on the manner or style of the leader. Their studies identified three basic leadership styles: *Autocratic style*, *Democratic style*, and *Laissez-faire style*. His results indicated that the democratic style is superior to the other two styles. Attributes of each style are outlined below

i. Autocratic Style

Autocratic style is a leadership approach in which a manager *does not share decision-making authority* with subordinates. The autocratic style described a leader who dictated work methods, made unilateral decisions, and limited employee participation. Autocratic leaders make decisions without consulting their teams.

The manager makes the decision and then announces it. Autocratic managers may ask for subordinates' ideas and feedback about the decision, but the input does not usually change the decision unless it indicates that something vital has been overlooked. The hallmark of this style is that the manager, who *retains all the authority*, executes the entire process. Consequently, the autocratic style is sometimes called the “**I**” approach.

This leader type is very personal in his praise and criticisms of each member, but does not actively participate with the group, unless demonstrating to the group. The leader makes the decisions, tells employees what to do, and closely supervises employee.

To use the autocratic style effectively, managers must know *what needs to be done*, and they must *possess expert power*.

Activity7: When do you think autocratic leadership style is appropriate? _____

In short, this style of leadership is considered appropriate when decisions need to be made quickly, when there's no need for input, and when team agreement isn't necessary for a successful outcome. In detail, the autocratic leadership style is appropriate

- ☞ When a manager is training a subordinate, for instance, the content, objectives, pacing, and execution of decisions properly remain in the hands of the trainer. (The manager should elicit feedback from the trainee, however.)
- ☞ During a crisis—a hazardous materials spill or bomb threat, say—leaders are expected to take charge, issue orders, and make decisions.
- ☞ When a subordinate directly challenges a manager's authority, an autocratic response may be needed to preclude acts of insubordination.
- ☞ When a situation calls for expedited action or decision making.
- ☞ When group members who are not self-motivated, who prefer structure, and appreciate significant direction and monitoring.
- ☞ When subordinates do not want to share authority or become involved in any way beyond the performance of their routine duties. Managers should respect these preferences but also make incentives and growth opportunities available.
- ☞ In circumstances in which employees have not been empowered to make decisions.

ii. Democratic Style (Participative Style)

Participative style is a leadership approach in which a manager *shares decision making authority* with subordinates. Managers who use the participative style share decision making authority

with subordinates. Democratic leaders allow the team to provide input before making a decision, although the degree of input can vary from leader to leader.

The degree of sharing can range from the leader's presenting a *tentative decision that is subject to change*, to letting the group or subordinate *participate* in making the decision. It is sometimes called the **“we” approach**.

The *democratic* leader encourages *employee participation* in decisions; *works with employees* to determine what to do, and *does not closely supervise employees*.

This leader welcomes team input and facilitates group discussion and decision making. Encourages members to work freely with each other and leaves division of tasks to the group.

Participative management involves others and lets them bring their unique viewpoints, talents, and experiences to bear on an issue. This style is strongly emphasized today because of the trends toward downsizing, employee empowerment, and worker teams.

This style is important when team agreement matters, but it can be difficult to manage when there are lots of different perspectives and ideas.

The subordinates must be *willing to participate* and be trained to do so. People need training in rational decision making. They must also possess the related skills and knowledge needed to cope with the problems they are expected to solve. It takes time to give people the confidence and competence needed to make decisions. Managers must have the time, means, and patience to prepare subordinates to participate. When employees participate, they devise solutions they feel they own. This *sense of ownership* increases their commitment to making the solutions work.

Democratic style is appropriate (works best)

- When issues that *affect more than* just the manager or decision maker. People affected by decisions support them more enthusiastically when they participate in the decision making than when decisions are imposed on them.
- When others in a manager's unit know more than the manager does about an issue, common sense urges their inclusion in decisions concerning it.

iii. Laissez-faire (Free-Rein Style)

Free-Rein style is a leadership approach in which a manager shares decision making authority with subordinates, empowering them to function *without direct involvement from managers* to whom they report.

The free rein style empowers individuals or groups to function on their own, without direct involvement from the managers to whom they report. Often called the “**they**” approach or spectator style. This style relies heavily *on delegation of authority*.

Laissez-faire leaders don't interfere; they allow people within the team to make many of the decisions. They allow the group *complete freedom* for decision-making, without participating themselves.

This leader type provides materials and offers to assist only by request. The laissez-faire leader does not participate in work discussions or group tasks. This leader does not offer commentary on members' performance unless asked directly, and does not participate or intervene in activities.

The managers also *hold participants accountable* for their actions by reviewing and evaluating performance. The laissez-faire style is interpreted by the members as a sign of *confidence and trust* in their abilities and further empowers them to be successful and motivated.

In short, this style works well when the team is highly capable, is motivated, and doesn't need close supervision. However, this behavior can arise because the leader is **lazy or distracted**; and this is where this style of leadership can fail.

In detail, this style is appropriate (works best)

- When the parties have *expert power*, when participants have and *know how to use* the tools and techniques needed for their tasks.
- With managers and *experienced professionals* in engineering, design, research, and sales. Such people generally resist other kinds of supervision.
- when group members are highly skilled and motivated, with a proven track record of *excellence*. This hands-off approach can allow these capable members to be *productive and effective*.

Each leadership style can be appropriate depending on the *environment* within which it is implemented, the *members* of the group (employees), and the *goals or tasks* that are being undertaken by the group. Leaders may adjust their style of leadership to fit certain tasks, groups, or settings.

Because people and circumstances constantly change and because subordinates must be prepared for change, the effective manager *switches from* one leadership style to another as appropriate.

For example, Lee is new, so his manager needs to use an autocratic approach until he develops the confidence and knowledge to perform independently or until he joins a team. Kim, experienced in her job and better at it than anyone else, will probably do well under a participative or free-rein approach.

2.3.3. Task Orientation versus People Orientation

Yet another element of leadership style is the manager's philosophy about the *most effective way to get work done*. Leaders can adopt a *focus on task* (a work, or task, orientation) or a *focus on employees* (a relationship, or people-centered, approach). Depending on the manager's perspective and situation, these two approaches can be used separately or in combination.

A **task focus** emphasizes technology, methods, plans, programs, deadlines, goals, and getting the work out. Typically, the manager who focuses on a task uses the autocratic style of leadership and issues guidelines and instructions to subordinates.

A task focus works well in the short run, especially with *tight schedules* or *under crisis* conditions. However, *used over the long term*, a task focus can create personnel problems. It might cause the best performers, who desire flexibility and freedom to be creative, to leave the group; and it might increase absenteeism and decrease job satisfaction.

The manager who **focuses on employees** emphasizes workers' needs. He or she treats employees as *valuable assets and respects their views*. Building *teamwork, positive relationships*, and *mutual trust* are important activities of the people-centered leader. By focusing on employees, a manager can increase job satisfaction and decrease absenteeism.

2.4. Leadership Skills and Competencies

2.4.1. Leadership Skills

There are leadership skills that are most important for success.

Here are the top 10 skills.

1. Inspires and motivates others

Great leaders create a vision, a picture of the future, of where they want to take their organizations, and that motivates employees to want to achieve it. Everyone wants to work for a company that makes a difference in the world. As a leader, you are best able to help the members of your team connect what they do to the impact it has on customers and communities.

2. Displays high integrity and honesty

Great leaders are honest and transparent, and have high integrity—they do what they say they are going to do, and they walk their talk.

3. Solves problems and analyzes issues

Ultimately, leaders are recruited, trained, and chosen to solve organizational problems, and to take advantage of opportunities in the marketplace. This requires not only excellent analytical abilities, but also above-average people skills.

4. Drives for results

Some people are happy to sit back and watch the world go by, while others aren't unless they are making things happen in their organizations. Great leaders have a higher level of perseverance and drive than most anyone else, and they can be counted on to get things done.

5. Communicates powerfully and prolifically

Great leaders communicate with their people often, and in a variety of different ways. Whether it's by means of one-on-one conversations, team meetings, blog posts, email messages, phone or Skype calls, or any other such medium, leaders don't talk about communicating—they just do it.

6. Builds relationships

Business is built on a solid foundation of relationships and trust. Without these two things, you can't have a business, or at least not a *successful* business. Take time every day to build relationships with the members of your team, your customers and vendors, your boss and your boss's boss, others in your industry, and your community. The stronger your relationships, the better a leader you will be.

7. Displays technical or professional expertise

Most leaders start out in business with a specific skill, such as selling, or accounting, or designing software. The best leaders build on their technical and professional skills over time, becoming valuable experts in their field *and* skilled at leading their team.

8. Displays a strategic perspective

Great leaders have a long-term vision of the future, and they avoid getting bogged down in the here and now. While they can be tactical when necessary, they maintain the strategic outlook necessary to guide their businesses to the best future possible.

9. Develops others

Just as they work to continuously develop and build their own technical and professional expertise, the best leaders set aside time (and money in their budgets) to develop their work force. They look for the most promising employees, and provide them with the training they need to become their company's next generation of great leaders.

10. Innovates

Innovation develops new insights into situations; questions conventional approaches; encourages new ideas and innovations; designs and implements new or cutting edge programs/processes.

2.3.2 Leadership Competencies

A focus on leadership competencies and skill development promotes better leadership. However, skills needed for a particular position may change depending on the specific leadership level in the organization. By using a competency approach, organizations can determine what positions at which levels require specific competencies.

Activity 8: What does competency mean to you? _____

Competency is capability or ability that include both intent and action, and that can be directly linked to how well a person performs on a task or in a job.

When selecting and developing leaders, HR professionals should consider the competencies that the individual possesses and compare those to the ones that need further development for success in a leadership role. By looking at his/her current competencies and comparing those to the skills necessary to fill a leadership position, organizations can make better informed decisions in hiring, developing and promoting leaders.

Technical, Cognitive, and Relational Competencies

Early research indicated that competencies fall into one of three categories: *technical*, *cognitive*, or *relational*.

People who are adept at technical competencies are proficient in the use of tools and processes related to a specialized field. Technical skills are especially critical in areas such as engineering, finance, and information technology.

Cognitive competencies include things like the ability to see the “big picture” in systems such as groups and organizations. Seeing the big picture means that you can recognize that various bits of information are not isolated; they actually form a pattern (this is called pattern recognition). Another example of a cognitive competency is the ability to analyze complex situations and to understand how all things and people relate to one another (this is called systems thinking). These two cognitive competencies—pattern recognition and systems thinking—are crucial in many jobs today.

Finally, relational competencies support the development of strong working relationships with colleagues, direct reports, senior management, and customers. These competencies are often called “people skills,” and they include self-awareness, self-management, empathy, and

inspirational leadership, among others. Relational competencies support us in building teams, coaching, monitoring performance, and providing feedback.

Leadership Competency Model

This competency Model is divided into three main groups:

1. Core Competencies
2. Leadership Competencies
3. Professional Competencies

These three groups of competencies can be thought of as the **Pyramid of Leadership**, which collectively form the *basic requirements for becoming a leader*. The Diagram below shows the Pyramid of Leadership. Each level is explained in more detail below the model.



Figure 2.1 Leadership Competency Model

1. Core Competencies

These are the personal skills required at all levels of leadership. Essential competencies provide the **foundation** that a person needs to become a leader. Without a strong foundation, the sides of the pyramid will soon crumble and fall as the base gives away.

☞ **Communicating**

☞ Basic Communications

- ✓ Expresses oneself effectively both orally and in written form.
- ✓ Communicate plans and activities in a manner that supports strategies for employee involvement.

- ✓ Actively listens to others.
- ✓ Negotiating
- Skillfully settles differences by using a *win-win approach* in order to maintain relationships.

Teamwork

- Uses appropriate interpersonal style to steer team members towards the goal.
- Allocates decision making and other responsibilities to the appropriate individuals.
- Organizes resources to accomplish tasks with maximum efficiency.

Creative Problem Solving

- Identifies and collects information relevant to the problem.
- Uses brainstorming techniques to create a variety of choices.
- Selects the best course of action by identifying all the alternatives and then makes a logical assumption.

Interpersonal Skills

-  Treats others with respect, trust, and dignity.
-  Works well with others by being considerate of the needs and feelings of each individual.
-  Promotes a productive culture by valuing individuals and their contributions.

Manage Client Relationships

- Works effectively with both internal and external customers.
- Gathers and analyzes customer feedback to assist in decision making.

Self-Direction

- Establishes goals, deliverables, timelines, and budgets with little or no motivation from superiors (self-motivation rather than passive acceptance).
- Assembles and leads teams to achieve established goals within deadlines.

Flexibility

- Willingness to change to meet organizational needs.
- Adapts to stressful situations.

☞ Build appropriate relationships

- Networks with peers and associates to build a support base.
- Builds constructive and supportive relationships.

☞ Professionalism

- Sets the example.
- Stays current in terms of professional development.
- Contributes to and promotes the development of the profession through active participation in the community.

☞ Financial

- Does not waste resources.
- Looks for methods to improve processes that have a positive impact on the bottom line.

☞ Business Acumen

- Reacts positively to key developments in area of expertise that may affect our business.
- Leads process improvement programs in all major systems falling under area of control.

1. Leadership Competencies

These are the skills needed to drive the organization onto the cutting edge of new technologies. Leadership Competencies form the basic structure that separates leaders from bosses. These skills create the walls and interiors of the pyramid. Without them, a leader is just a hollow windbag.

☞ Leadership Abilities

- Displays attributes that make people glad to follow.
- Provides a feeling of trust.

☞ Visioning Process

- Applies effort to increase productiveness in areas needing the most improvement.
- Creates and set goals (visions).

- Gain commitment by influencing team to set objectives and buy in on the process.
- Reinforces change by embracing it (prevents relapse into prior state).

 Create and Lead Teams

- Develops high-performance teams by establishing a spirit of cooperation and cohesion for achieving goals.
- Quickly takes teams out of the storming and norming phases and into the performing phase.

 Assess Situations Quickly and Accurately

- Takes charge when the situation demands it.
- Makes the right things happen on time.

 Foster Conflict Resolutions (win-win)

- Effectively handles disagreements and conflicts.
- Settles disputes by focusing on solving the problems, without offending egos.
- Provides support and expertise to other leaders with respect to managing people.
- Evaluates the feasibility of alternative dispute resolution mechanisms.

 Project Management

- Tracks critical steps in projects to ensure they are completed on time.
- Identifies and reacts to the outside forces that might influence or alter the organization's goals.
- Establishes a course-of-action to accomplish a specific goal.
- Identifies, evaluates, and implements measurement systems for current and future projects.

 Implement Employee Involvement Strategies

- Develops ownership by bringing employees in on the decision making and planning process.

- Provides the means to enable employee success, while maintaining the well-being of the organization.
- Develops processes to engage employees in achieving the objectives of the organization.
- Empower employees by giving them the authority to get things accomplished in the most efficient and timely manner.

☞ Coach and Train Peers and Subordinates

- Recognizes that learning happens at every opportunity (treats mistakes as a learning event).
- Develops future leaders by being involved in the company mentoring program.
- Provides performance feedback, coaching, and career development to teams and individuals to maximize their probability of success.
- Ensure leadership at every level by coaching employees to ensure the right things happen.
- Ensures performance feedback is an integral part of the day-to-day activities.

1. Professional Competencies

These are the skills and knowledge needed to direct the systems and processes that a leader controls. Professional Competencies form the mortar that binds the pyramid together. *Without some knowledge of the technical skills* that they direct, the pyramid soon begins to fall apart and the organization begins to operate in damage control mode.

Each organization requires a different set of professional competencies for each leadership position. Although leaders do not need to be the Subject Matter Experts (SME) for the tasks that they direct, they must have a basic understanding of the systems and processes that they control.

Professional Competencies for Learning/Training Leaders include the following competencies

- Adult Learning
 - Understand and appreciate the diverse experiences of learners.
 - Facilitate self-directed and help with the informal learning of others.
- Instructional Design
- Use the Instructional Design (ISD) model:

- Conduct needs assessment and analyze for performance needs.
- Design for maximum performance.
- Development material by fleshing out design.
- Deliver (implement) learning package.
- Evaluate using formative and summative methods throughout entire process.
 - Rapid Design
- Uses prototypes for to quickly create and deliver learning packages.
 - Consulting
- Determine stakeholder's needs.
- Negotiate a solution.
- Ensure solution fulfills a business and/or organization requirement.
 - Instruction
- Plan and prepare for instruction
- Engage learners though out entire instruction.
- Demonstrate effective presentation and facilitation skills.
- Provide clarification and feedback.
- Provide retention and transfer of newly learned skills and knowledge.

Researchers at the Center for Creative Leadership have also identified some essential leadership competencies that are consistent among organizations. They divide the overall structure into competencies for leading the organization, leading the self and leading others in the organization.

Leading the organization:

- ✓ managing change
- ✓ solving problems and making decisions
- ✓ managing politics and influencing others
- ✓ taking risks and innovating
- ✓ setting vision and strategy

- ✓ managing the work
- ✓ enhancing business skills and knowledge
- ✓ understanding and navigating the organization

Leading the self:

- ✓ demonstrating ethics and integrity
- ✓ displaying drive and purpose
- ✓ exhibiting leadership stature
- ✓ increasing your capacity to learn
- ✓ managing yourself
- ✓ increasing self-awareness
- ✓ developing adaptability

Leading others:

- ✓ communicating effectively
- ✓ developing others
- ✓ valuing diversity and difference
- ✓ building and maintaining relationships
- ✓ managing effective teams and work groups

Global Leadership Competencies

To address the unique challenges of global leaders, researchers have identified global leadership competencies that can contribute to success.

Morgan McCall and George Hollenback studied successful global leaders and developed the following list of common competencies specific to the global leader.

Global Executive Competencies

- ✓ Open-minded and flexible in thought and tactics
- ✓ Cultural interest and sensitivity

- ✓ Able to deal with complexity
- ✓ Resilient, resourceful, optimistic and energetic
- ✓ Honesty and Integrity
- ✓ Stable personal life
- ✓ Value-added technical or business skills

2.5. Good vs Bad leaders

Are you a good leader? Are you leading in the right direction?

Most people are actually somewhere between being a good leader and a bad leader, with the majority uncertain of the connection between their leadership and performance. These actions or inactions are bad because they *lead* employees to believe that management disrespects them and does not care a whit for them.

Good Leadership

In order to produce the absolute best products and services in the marketplace, *all employees must treat their work and their customers with great respect and care*. Everyone knows this. It follows then that good leadership requires treating employees with great *respect and care* — the better the respect and caring, the better the outcome.

Treat employees as if they are very important and valuable and you will cause them to feel and become this way. They will then treat their work, customers, peers and management this way. They will follow your lead.

What then characterizes good (or great!) leadership?

- Listening to your employees including subordinate managers/bosses — addressing their complaints, suggestions, concerns, and personal issues at work.
- Coaching people when necessary to raise them to a higher standard.
- Allowing everyone to put in their two cents.
- Trusting them to do the work.
- Not giving orders or setting visions, goals and objectives, but instead soliciting this from them so that everyone is fully involved in how the company will be successful.

- Providing direction when needed to ensure that everyone is on the same page (the one they devised).
- A good leader communicates the vision that was set by all. If it is a vision of little interest, then another one must be found.

Every person wants to be heard and respected. Everyone has something to contribute. Listening and responding respectfully makes it worthwhile for employees to apply 100% of their brainpower on their work thus unleashing their full potential of creativity, innovation and productivity and making them highly motivated, committed and productive. All of this gives them very high morale, enables them to take great pride in their work and then they will literally love to come to work

Bad leadership is characterized by attempting to control employees through orders, policies, rules, goals, targets, reports, visions, bureaucracy, and changes all designed to almost force employees to work

Bad Leadership

What characterizes bad leadership?

- Dishing out orders, policies, rules, goals, targets, reports, visions and changes to force employees to work the way management believes it should be done.
- Failing to listen
- Trying to motivate employees.
- Exhibiting the “Do as I say, not as I do” mentality
- Providing inadequate support
- Withholding information
- Treating employees as if they don’t want to do a better job, don’t care about their work, don’t want to accept responsibility, or don’t really want to work.
- Treating them as if they are lucky to have a job
- Being afraid to discipline and never disciplining anyone
- Us versus them mentality—“Why aren’t they performing better?”— “What’s wrong with that person? Why don’t they know their job? They should know their job.”

Bad leadership shuts off the natural creativity, innovation, and productivity of each employee and slowly but surely demotivates and demoralizes them.

Most bad leadership is the result of a top-down, command and control style of management, where the employee is rarely if ever listened to. This style is prevalent in the workplace and ignores every employee's basic need to be heard and to be respected.

Good Leader Qualities	Bad Leader Qualities
- Kind - When someone makes a mistake, the leader says, "it's ok, you can try again." - Help people when they are in trouble - Come up with solutions - Don't use violence - Generous - Honest - Aren't wasteful - Good at listening - Work with a team - Try to make other people better - Smart - Always try their best - Not afraid to make mistakes - Protect the community - Use time well	- Violent - They steal - They don't protect other people - They only care about themselves - They lie - Rude - They order people around - They blame other people - They don't protect the environment - Selfish - They aren't good at solving problems - They don't like to listen - Afraid to look bad - Not smart - Only like to work by themselves - Time waster - They make other people feel bad

Summery

To understand leadership as it is viewed and practiced today, it is important to recognize that the concept of leadership has changed over time. A number of different leadership theories have been introduced to explain exactly how and why certain people become great leaders. The most widespread leadership theories are Great Man leadership theory, trait leadership theory, behavioral leadership theory, contingency leadership theory, transactional leadership theory, and transformational leadership theory. Many of these ideas are still applicable to leadership studies today.

Early leadership theories focused on what qualities distinguished between leaders and followers, while subsequent theories looked at other variables such as situational factors and skill levels.

According to 'great man' theory, great leaders are simply born with the necessary internal characteristics such as charisma, confidence, intelligence, and social skills that make them natural-born leaders. Trait theory states that specific characteristics or traits are *essential for good leadership* and that they are *situation-independent*. Behavioral theories of leadership are based upon the belief that great leaders are made, not born. This leadership theory focuses on the actions of leaders not on mental qualities or internal states.

Contingency theories differ from the earlier trait and behavioral theories in asserting that *no single way of leading works in all situations*. Contingency theories contend that *there is no one best way of leading* and that a leadership style that is effective in some situations may not be successful in others.

Transactional leadership is based on *contingency*, in that reward or punishment is contingent upon performance. This theory bases leadership on a system of *rewards and punishments*. Transformational leadership theory focuses on the *connections* formed between leaders and followers. Transformational leaders motivate and inspire people by helping group members see the importance and higher good of the task.

Servant leadership suggests that leaders must *place* the needs of subordinates, customers, and the community *ahead of their own interests* in order to be effective. Put the needs of others first and helps people develop and perform as highly as possible. It is about identifying and meeting the needs of colleagues, customers, and communities.

The perceived approaches and behaviors a manager uses to influence others constitute the *manager's leadership style*. Leadership style can be defined broadly as the manner and approach of providing *direction, implementing plans, and motivating people*.

Managers' leadership styles result from their philosophies about *motivation* (positive versus negative Motivation), their choices of *decision-making styles* (*autocratic style, democratic style, and laissez-faire style*), and their *areas of emphasis in the work environment* (task orientation versus people orientation).

Leaders with positive styles use *positive motivators*. They motivate by using *praise, recognition, or monetary rewards* or by *increasing security* or granting *additional responsibilities*. A negative leadership style incorporates coercion known as *sanctions—fines, suspensions, termination, and the like*.

Another element in a manager's leadership style is *the degree to which he or she shares decision-making authority with subordinates*. Autocratic style is a leadership approach in which a manager *does not share decision-making authority* with subordinates. Participative style is a leadership approach in which a

manager *shares decision making authority* with subordinates. *Laissez-faire* style is a leadership approach in which a manager shares decision making authority with subordinates, empowering them to function *without direct involvement from managers* to whom they report.

Leaders can adopt a *focus on task* (a work, or task, orientation) or a *focus on employees*. A task focus emphasizes technology, methods, plans, programs, deadlines, goals, and getting the work out. The manager who focuses on employees emphasizes workers' needs. He or she treats employees as *valuable assets and respects their views*. Building *teamwork, positive relationships, and mutual trust* are important activities of the people-centered leader.

Competencies fall into one of three categories: *technical, cognitive, or relational*. People who are adept at technical competencies are proficient in the use of tools and processes related to a specialized field. Cognitive competencies include things like the ability to see the “big picture” in systems such as groups and organizations. Relational competencies support the development of strong working relationships with colleagues, direct reports, senior management, and customers.

This competency Model is divided into three main groups: Core Competencies, Leadership, Competencies, and Professional Competencies.

Core competencies provide the *foundation* that a person needs to become a leader. Leadership competencies are the skills needed to drive the organization onto the cutting edge of new technologies. Professional competencies are the skills and knowledge needed to direct the systems and processes that a leader controls.

Self- Assessment Questions

Part I: Say true if the statement is correct or say false if the statement is wrong

- _____ 1. Behavioral leadership theory states that specific characteristics or traits are *essential for good leadership* and that they are *situation-independent*.
- _____ 2. Contingency theories differ from the earlier trait and behavioral theories in asserting that *no single way of leading works in all situations*.

- _____ 3. Autocratic style is a leadership approach in which a manager *does not share decision-making authority* with subordinates.
- _____ 4. Negative leadership style encourages development of employees and result in higher levels of job satisfaction.
- _____ 5. Great leaders have a long-term vision of the future, and they avoid getting bogged down in the here and now.

Part II: Fill in the Blank Questions

1. _____ leadership theory suggests that leaders must place the needs of subordinates, customers, and the community ahead of their own interests in order to be effective.
2. People who are adept at _____ competencies are proficient in the use of tools and processes related to a specialized field.

Part III: Discussion questions

1. Define leadership style.
2. Define competency.
3. Identify the characteristics of transactional leaders and transformational leaders.
4. What are competencies of global leader?
5. List the top ten skills of leadership.

CHAPTER THREE

OVERVIEW OF CHANGE MANAGEMENT

3.1. Introduction

Dear students, this is the third unit of the course which comprises the major content such as meaning and implications of change, forces for organizational change, process of organizational change, resistance to change, managing resistance to change, planned change, strategies for planned organizational change. In this regard, you are expected to study all topics involved in this unit.

Change is foreseeable. Nothing is permanent except the change. It is the duty of the management to manage change properly. Organizations must keep a close watch on the environment and incorporate suitable changes if the situation so demands. Change is a continuous phenomenon. Organizations must be proactive in affecting change. Even in most stable organizations change is necessary just to keep the level of stability. The major environmental forces, which make the change necessary, are technology, market forces and socio-economic factors. Resistance to change is not desirable. It is counterproductive for growth and destructive in nature. Managers must evolve policies to affect change. According to Barney and Griffin, “the primary reason cited for organizational problems is the failure by managers to properly anticipate or respond to forces for change.”

Activity 8: Dear students, could you define the word change? _____

3.2. Meaning and Implications

Change refers to any alteration which occurs in over all work environment of an organization. It may relate to change in technology, organizational structure, working processes, work environment, organizational policy and even the roles people play. Introduction of change in one part of an organization forces change in other part.

If the change is beneficial, people accept it willingly. If it is not desirable, there is great resistance. If it is of no consequence to the people, they may adopt an attitude of indifference. If they consider the change detrimental to their growth and prosperity, they may resist through counter pressure.

This reaction is based not necessarily on the reality or facts but on their perception. The change therefore, should be sufficiently strong enough to overcome the counter pressure.

Due to advancement of technology and social environment change has become a necessity. If the change takes place, a balance or equilibrium is achieved by the organization. Thus, people learn to expect various environment relationships within the organization. They learn adaptation. The essence is that when people feel that there is need to change, and when they change, they actually are adjusting to changed situation thus equilibrium is achieved with the changed environment. This process carries on and is never ending because change takes place continuously.

3.3. Forces for Organizational Change

An organization is an open system which has to interact with environment and is solely dependent on it. Any change in environment makes it necessary for the organization to incorporate change in the internal systems, sub-systems and processes. This change has a chain reaction on the other internal elements of organization. For example any change in consumer preferences, may change product feature, cost, technology, marketing strategy and the like. Organization must interact with external environment in order to survive.

Organization gets input (human resource, material, finance, information etc.) from environment, transform it and export output (product and services) to environment.

Organizations take what environment gives and in the process passes on what the environment wants. Thus, organizations are responding to the social requirements. If the response is positive, then the change takes place and growth is achieved. If on the contrary response is negative it will adversely affect the growth. So there are various factors that must be considered to implement change.

(a) External Forces of Change

Technology is a major external force which calls for change. In the recent times information technology has made a remarkable impact on the ability of managers to use information to arrive at a decision. Storage, retrieval of information and its utilization is important part of technology.

Where human being cannot operate, robot has been replaced to work for and on behalf of human beings.

Financial decisions, operations, product features, new product development, market potential and marketing strategies are changing at a fast speed and organizations must carry out appropriate change in time otherwise one will be left behind in the race. Because of liberalization market has become one entity. Organizations have to be highly sensitive to the changes in the external environment.

External environment is task related and general in nature. Task related environment has a direct influence on the health of the organization. It consists of customers, competitions, suppliers, labour and stakeholders. All these factors induce change in the organization. General environment consists of political, legal, economic, socio-cultural and technological forces. Change in government policies or fiscal policies have a direct impact on the organization. Changes in needs, expectation and desires of society for housing have changed a financial sectors outlook and loans are easily available to all sections of society.

(b) Internal Forces of Change

Once the organizations adapt to the external change, the managers have to take appropriate steps as far as internal systems are concerned. Change of process, modification to human behaviour, training and development of work force based on new technology and adopting new policies, which are beneficial to the organization. Due to current social changes where women are taking jobs in greater numbers, child care, more and frequent rest periods, flexitime may be necessary. Workers are more educated and are aware of their duties and rights. This may necessitate change in corporate policies towards wage and salary implementation, promotion policy and management's obligation towards them.

Changes in internal environment may be brought about by customers, shareholders, board of directors and employees. These however, have to be in line with the external factors and not arbiters. Change which is deliberately designed and implemented is a 'planned change'. This is carried out to counter threats and encase opportunities. "Reactive changes" are unknown and cause as a response to sudden surprises like change in price of a particular product etc. It is therefore necessary that the management must be 'proactive' in incorporating change with fewer surprises.

3.4. Process of Organizational Change

Dear students, how managers deal with the major factors that need to be considered when an organization change is being made will largely determine how successful that change will be.

The following factors should be considered whenever change is being contemplated.

- ☞ The change agent
- ☞ Determining what should be changed
- ☞ The kind of change to make
- ☞ Individuals affected by the change.
- ☞ Evaluation of the change.

☞ The change Agent

A change agent is an individual inside or outside the organization who tries to modify an existing organizational situation. Special skills are necessary for success as a change agent. Among them are the ability to determine how a change should be made, the skill to solve change- related problems and facility in using behavioural science tools to influence people appropriately during the change process.

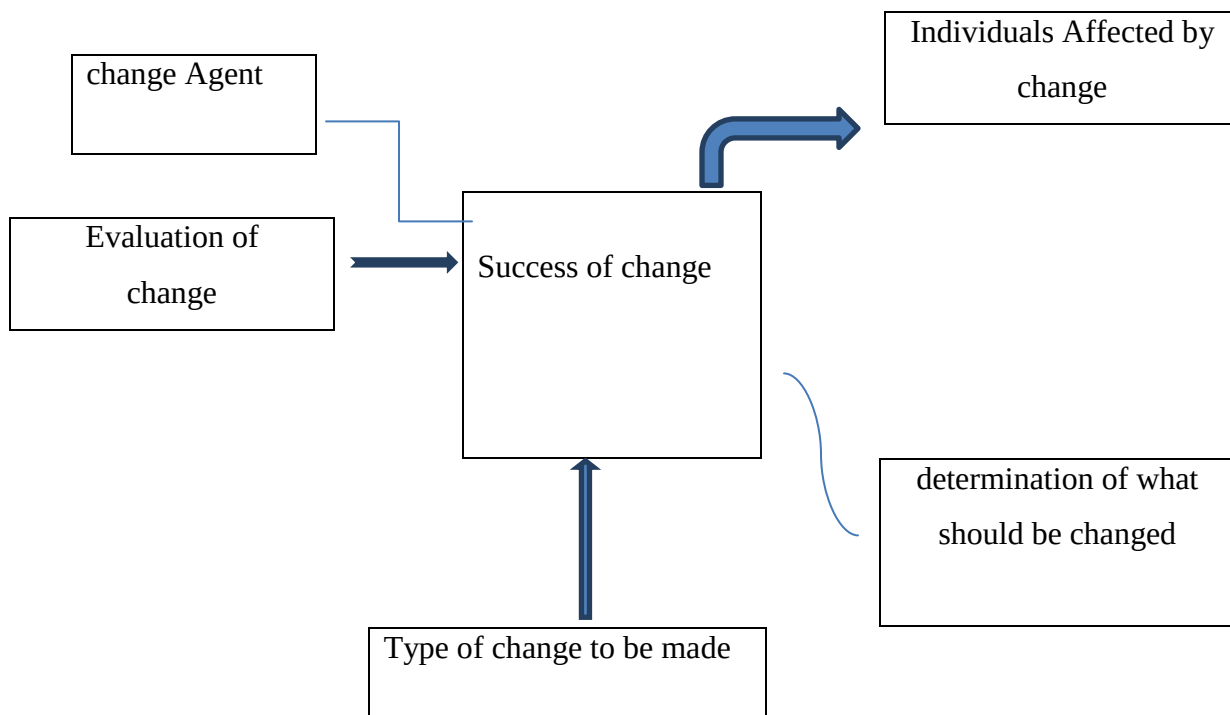


Figure 3.1 Change process

☞ **Determining what should be changed**

Another major factor managers need to consider is exactly what should be changed within the organization. In general, managers should make only those changes that will increase organizational effectiveness.

It has been generally accepted for many years that organizational effectiveness depends primarily on activities centering around three classes of factors.

- People
- Structure
- Technology

People factors are attitudes, leadership skills, communication skills, and all other characteristics of the human within the organization.

Structural factors are organizational controls, such as policies and procedures.

Technological factors are any type's equipment or processes that assist organizational members in the performance of their jobs.

For an organization to maximize its effectiveness, appropriate people must be matched with appropriate technology and appropriate structure. Therefore, this shows organizational effectiveness is determined by the relationship of these three factors.

☞ **The kind of change to make**

This is the third major factor that managers need to consider when they set out to change an organization. Most changes can be categorized as one of three kinds:

- Technological
- Structural
- people

Technological changes – emphasizes modifying the level of technology in the management system. This kind of change so often involves outside experts and highly technical language.

Structural change – emphasizes increasing organizational effectiveness by changing controls that influence organizational members during the performance of their jobs.

People change – is a type of organizational change that emphasizes modifying certain aspects of organization members to increase organizational effectiveness.

☞ **Individuals Affected by the change**

A fourth major factor to be considered by managers when changing an organization is the people who will be affected by the change.

A good of assessment of what to change and how to make the change will be wasted if organization members do not support the change. To increase the chances support, managers should be aware of employee of the following factors.

- The usual employee resistance to change
- How this resistance can be reduced
- The three conditions that usually accompany behavioral change.

☞ **Evaluation of change**

As with all other managerial actions, managers should spend more time evaluating the changes they make. The purpose of this evaluation is not only to gain insights into how the change itself might be modified to further increase its organizational effectiveness but also to determine whether the steps taken to make the change should be modified to increase organizational effectiveness the next time they are used.

3.5. Resistance to Change

Resistance is a strange, loaded word with negative and emotional baggage. But resistance is, believe it or not, a completely natural human experience. Resistance is how we protect ourselves from being bad. When presented with significant change, most people think of the reasons why this new idea won't work.

It's pretty natural to want to stay in and defend the status quo, even when the current way of doing things isn't working very well.

As change agents, leaders need to understand and deal early with resistance, be it direct or indirect. It doesn't go away until you deal with it honestly. This tool will help you do that. Resistance can often be positive, in the sense that:

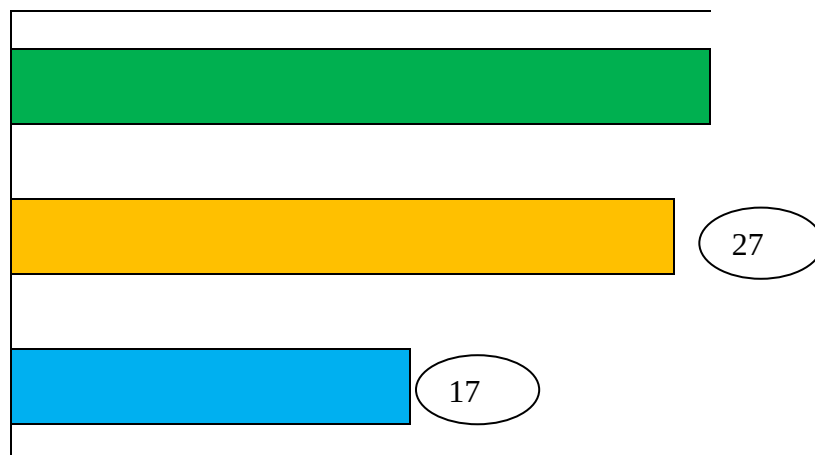
- You know your request has been heard and people are perhaps striving to understand how to make it work without upsetting their environment too much; or
- It may represent a legitimate commitment to another alternative or to a different way of thinking.

However, indirect resistance is often hidden, and can look like a sincere response. Only when resistance is direct, sincere, and in the open does it become possible to discuss and deal with real concerns.

Leaders need to know how to surface indirect resistance and turn it into direct resistance. Begin by *not* assuming or mind reading. You could be wrong! What looks like resistance could be a genuine request or comment.

Common obstacles to change

A 2006 study by Harvard Business Review found that 66% of change initiatives fail to achieve their desired business outcomes. Why is change so difficult? The five most common obstacles to change are depicted in the graph below.



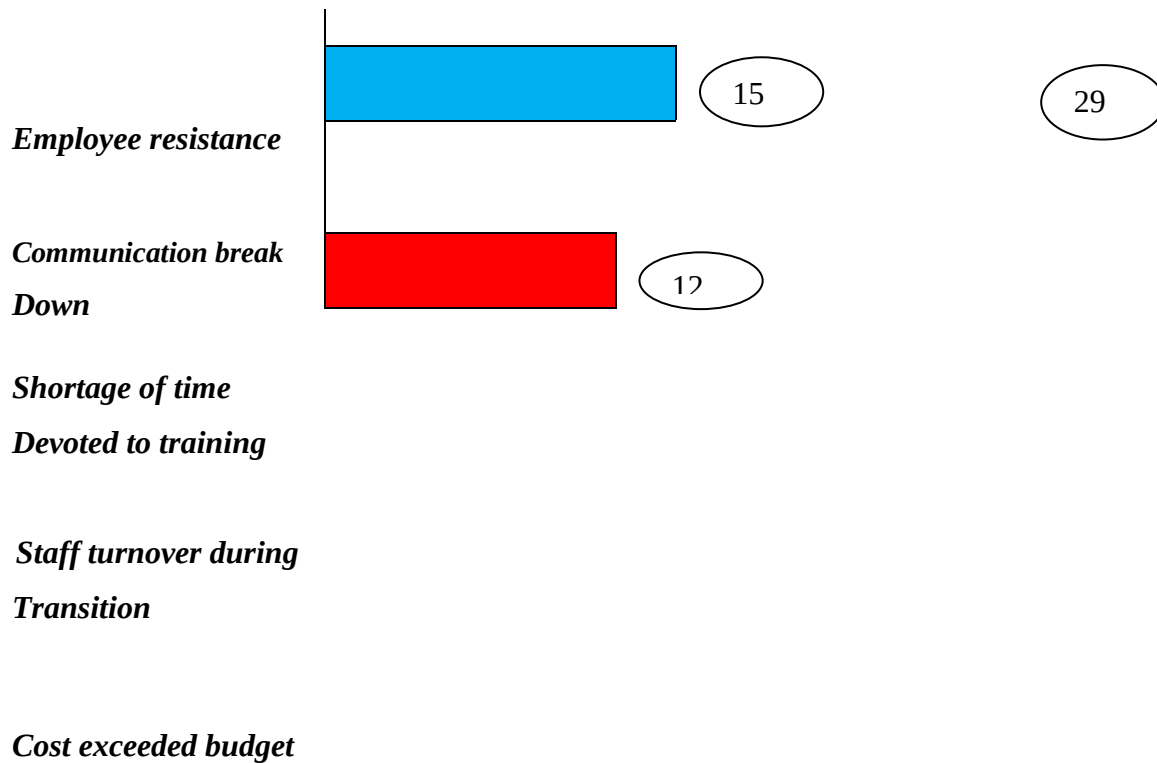


Figure 3.2 Obstacles Experienced during Major Organizational Changes

Activity 9: Management of resistance is important for the success of planned change in the organization. Therefore, describe some mechanisms used to manage resistance in the organization? _____

3.6. Managing Resistance to Change

Change ultimately affects people in the organization. It is always better to explain to them why change is necessary, what benefits are likely to accrue as a result of change and how these benefits are to be shared by employees and the organization. Free flow of information and two-way communication is necessary. If proper communication is not maintained negative attitudes are likely to be formed while change is being implemented. There is a general impression that

benefits from change accrue to the organization and management at the cost of workers. This is a false impression and must be corrected by appropriate authority. It must be remembered that without full cooperation of workers, no change can be planned, implemented and the benefits enjoyed. No growth of the organization can take place unless workers bring it about.

Management must understand that workers are the *key element of any organization* and that they must be involved from planning stage of change. This will result in increased productivity of the organization.

Participation should not be simply a mechanical act of calling upon employees to “Participate”. It should be clearly understood that there is no one simple panacea to be used in all situations.

Participation is not being universally followed. The different combinations of different methods, techniques and procedures may have to be tried. There may be need for the counselling and training of people. If the situation so warrants; the plan even may have to be dropped. Conscious efforts must be made by the leader to remove the fears of employees.

Participation should be a part of total treatment of change. Such participation of workers would ensure commitment to implementation of change. Individual involvement right from the planning stage of the change is essential to ensure total commitment. It should ultimately appear that the employees require the change and management is implementing it at their best. It has been observed that management is regarded as the instigator of change and unions are considered as forestaller of change.

It is, therefore, for management to take labour leaders in confidence so that they are able to convince the members of the need and utility of change. It is important to make the workers feel that they can discuss the modalities of change and understand the nature of fears they may have, known for themselves that there is no danger or a trap in the change being planned and that the change is for the benefit of workers and organization. *Coch and French's* study showed that the group which was not only informed of change and why it was to occur, but also participated in helping to design and plan the new jobs as well as retaining programmes, demonstrated more successful adaptation to change than the other two groups. These included:

1. Group which had no orientation to change other than a short announcement by management that the change would be made.
2. Group which was informed by management of the need for change and its implications and the workers were asked to select representatives to help devise the necessary retaining programmes. The results were much better in the second group involving all than the first group in which only an announcement regarding change was made.

3.7. Planned Change

Managers and other change agents use various means for mobilizing power, exerting influence over others, and getting people to support planned change efforts. As described in Figure 1, each of these strategies builds from the various bases of social power. Note in particular that each power source has somewhat different implications for the planned change process.

Force–Coercion

A force–coercion strategy uses legitimacy, rewards, or punishments as primary inducements to change. That is, the change agent acts unilaterally to “command” change through the formal authority of his or her position, to induce change via an offer of special rewards, or to bring about change via threats of punishment. People respond to this strategy mainly out of the fear of being punished if they do not comply with a change directive or out of the desire to gain a reward if they do. Compliance is usually temporary and continues only as long as the change agent and his or her legitimate authority are visible, or as long as the opportunities for rewards and punishments remain obvious.

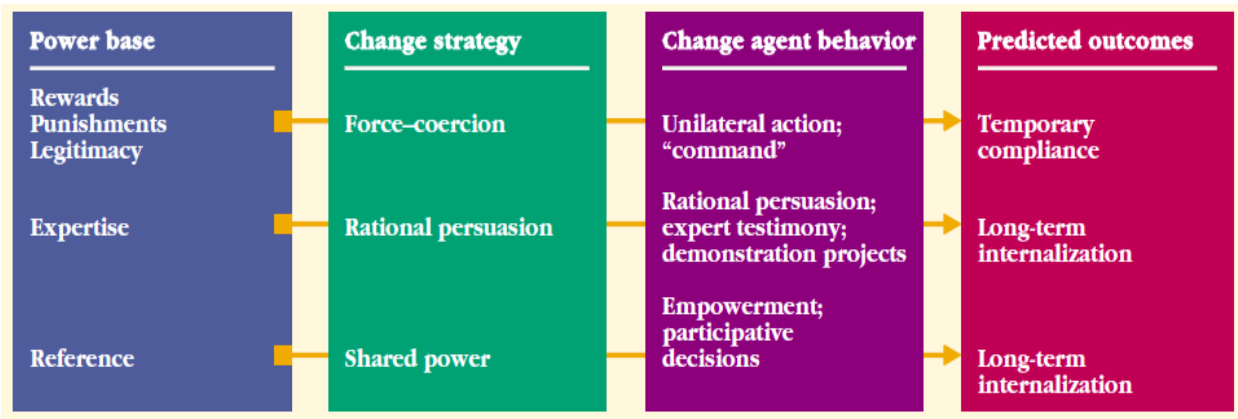


Figure 3.3 Power bases, change strategies, and predicted change outcomes.

Rational Persuasion

Change agents using a **rational persuasion strategy** attempt to bring about change through the use of special knowledge, empirical support, or rational arguments. This strategy assumes that rational people will be guided by reason and self-interest in deciding whether or not to support a change. Expert power is mobilized to convince others that the change will leave them better off than before. It is sometimes referred to as an *empirical-rational strategy* of planned change. When successful, this strategy results in a longer lasting, more internalized change than does force–coercion.

Shared Power

A shared-power strategy actively and sincerely involves the people who will be affected by a change in planning and making key decisions relating to this change. Sometimes called a *normative-re-educative approach*, this strategy tries to develop directions and support for change through involvement and empowerment. It builds essential foundations, such as personal values, group norms, and shared goals, so that support for a proposed change emerges naturally. Managers using normative-re-educative approaches draw upon the power of personal reference and also share power by allowing others to participate in planning and implementing the change. Given this high level of involvement, the strategy is likely to result in a longer lasting and internalized change.

3.8. Strategies for Planned Organizational Change

Dear students, what do we mean by organizational change? Organizational change is the alteration or adjustment of a company's current business operation. Business owners and managers may need to direct unplanned and planned change. Differentiating between these two change processes can help owners and manager understand the internal and external force affecting the company. Planned change typically has an expected result that improves some portion of the business unplanned change may be chaotic and to an unknown result.

The following are some strategies for planned organizational change.

- i. Reviewing the action of business owners and managers is very significance. They should have a clear understanding and knowledge of change. If the seem unsure of the situation or unclear about its outcome, the changes were probably not expected.
- ii. Assessing the reaction by the employees. Similar to owners and managers, employees have an opinion on resting changes. Employees who cannot complete tasks as needed or who have new difficulties in their job may face unplanned change.
- iii. Looking at a competitor's action major planned change in a business may be the result of economic shifts in the local market. Competitors who are not adjusting operation may be a signal that unplanned change is occurring in the business.
- iv. Monitoring the outcomes of the change, whether planned or unplanned. The outcome of change should result improved and better productivity .while minor adjustments may be necessary, these are normal. Unplanned changes may result in continual change or alterations to the business and major issues.

Summary

Change is a planned or unplanned, a potent issue simultaneously unpredictable and turbulent pressures that have become the norm. Change is not made without inconvenience, even from worse to better. To succeed, the change must be accepted. Change strategists are clearly to initiators of change and traditional have represented the top leaders of the firm. Change implementers, agents champions etc. are responsible for micro dynamics of the change effort its organizational structure and coordination of elements. Change recipients are those most strongly affected by the change.

Therefore those who are managing change with some degree of success for themselves and for others recognize that they must continually ask the questions:

- * What is to be changed?
- * How is to be changed?
- * Who is affected?
- * What are the consequences so far?

And listen to the answers, and then transfer that learning to continually modify their efforts. The forces for change come from external sources outside the organization and from internal source of the organization. There are four key external forces for change: demographic characteristics, technological advancements, market changes and social and political pressures. Internal forces may come from low job satisfaction, low productivity and conflict both human resource problems and management behavior decisions.

A change agent is an individual inside or outside the organization who tries to modify an existing organization situation. Managers need to consider what should be changed within the organization. Most changes can be categorized as one of the three kind: Technological, Structural, and People.

Managers need to consider when changing an organization is the people who will be affected by the change. Resistance to change is an emotional/ behavioural response to real or imagined threats to an established work routine.

There are also four key elements that should be kept in mind.

- i. An organization must be ready for change.
- ii. Organizational change is less successful when top management fails to keep employees informed about the process of change,
- iii. Do not assume that people are consciously resisting change. Managers are encouraged to use a system model of change to identify the obstacles that are affecting the implementation process.
- iv. Employees perception or interpretations of a change significantly.

There are three stages of change: unfreezing, changing and refreezing.

The following are some strategies for planned organizational change:

1. Reviewing the actions of business owners
2. Assessing the reaction by employees
3. Looking at a competitions actions
4. Monitoring the outcome of the change

Self -Assessment Questions

Part I. Write True if the statements are correct and false if the statements are incorrect.

1. Change which is deliberately designed and implemented is a 'planned change'.
2. Resistance is how we protect ourselves from being bad.
3. One reason people resist change is that it substitutes ambiguity for uncertainty.

Part II. Give answer for the following questions

1. What factors should be considered whatever change is being contemplated?

2. What are the special skills necessary for the success of the change agent?
3. List out some of the strategies for planned organizational change?
4. List out the ten of the leading reasons for resistance to change?

CHAPTER FOUR

Learning Objectives

After studying this chapter, you should be able to:

- Discuss planned and unplanned change
- Explain revolutionary and evolutionary change
- Figure out the main BBR process, BBR technique and tools , and implementation

4.1. Introduction

Dear students, this is the fourth chapter of the course. Thus, you will study about types of change, planned Vs. unplanned change, revolutionary Vs. evolutionary change, the meaning and concept of Business process Reengineering (BPR) BPR process, BPR techniques and tools, implementation of BPR and other kinds of changes. Alongside there are also unit summary and self-test exercise included here. Therefore, you will be expected to carry out the given exercises at the end of the progress.

4.2. Types of change

Dear students, the previous unit began with a broad definition of change a planned or unplanned response to pressure and surveyed the pressure. Here we explore planned response. Linda Ackerman provides a useful way of categorizing changes common in the organization, each of which varies in scope and depth.

Understanding the nature of the change you wish to effect and the context in which you are working are important in determining an appropriate strategy. Entering uncharted change territory without some sort of route map puts you at an immediate disadvantage from the start. One of the first stages in charting the territory is to understand a little more about the type of change you wish to make (broadly where you want to get to and how you plan to travel).

There are a number of ways in which change can be categorized, most are related to the extent of the change and whether it is seen as organic (often characterized as bottom-up) or driven (top-down).

Ackerman (1997) has distinguished between **three** types of change:

- * **Developmental** – May be either planned or emergent; it is first order, or incremental. It is change that enhances or corrects existing aspects of an organization, often focusing on the improvement of a skill or process.
- * **Transitional** – Seeks to achieve a known desired state that is different from the existing one. It is episodic, planned and second order, or radical. Much of the organizational change literature is based on this type.
- * **Transformational** – Is radical or second order in nature. It requires a shift in assumptions made by the organization and its members. Transformation can result in an organization that differs significantly in terms of structure, processes, culture and strategy. It may, therefore, result in the creation of an organization that operates in developmental mode – one that continuously learns, adapts and improves.

4.3. Planned vs. Unplanned Change

Dear students. Change in an organization can be planned or unplanned. Planned change is the result of a specific change agent and unplanned change is random or spontaneous. Whether the change is planned or unplanned leaders must manage change effectively, something it has been estimated that 50 to 70 percent of all corporate change initiative in the 1990s failed to achieve their objectives.

There are several common elements in managing change. Those elements include define the vision for planned change react quickly for unplanned change com. Provoke the change and involve employees.

In order to accept a change by employees, an organization must have a clear defined vision. The vision must be one that is concrete and drives movement towards measurable goals and not one that is a slogan or bumper sticker campaign of clichés such as customer – oriented or new and improved. The leaders of the organization must show the employees how the change will benefit

them and the business . It is also important to remember that any desired outcome must be congruent with core values.

Unplanned change can be disruptive or beneficial. A good employee team will have a worse case back up plan, which has been communicated to employees, so that the time the network is down is minimal .the key to taming unplanned change is to react quickly and decisively. Leaders do not have time to create a vision but they should be able to communicate the change and the process to follow.

Inadequate communication is one of the main reasons change efforts fail. One way to motivate employees to accept planned or unplanned changes is to allow them to have a stake in the outcome .give them a chance to ask questions. Share concerns and offer ideas. People are less likely to resist change if they feel that it is their idea or they have input .also leaders should consider the vehicles used to communicate the change. There is no one perfect way to communicate change. The commendation should be via a variety of ways such as e-mail internal employee websites, and all hands meetings. In addition the reason for the change should be included in the communication there for managers should share with employees the various options considered.

- **Activity 10:** Think back over your own working life and/or that of other members of your family or friends. What major changes have occurred in the organizations you or they have worked for? _____

4.4. Revolutionary Change versus Evolutionary Change

Revolutionary change is immediate and dramatic whereas evolutionary change is gradual and manmade. Change due to war, attack of another country and making the changes in the life of the invaded regions where as the evolutionary changes is by nature in course of time.

Revolution also includes the change due to inventions like mobile phones, TVs, internets, computers etc which were not created before.

Revolutionary change is characterized by suddenness and usually is induced by man himself. Revolutionary change is not necessarily a step forward. Evolutionary change on the other hand is having as it does elements of both phenotype and genotype changes are largely imperceptible it is a natural process helping us to adapt to emerging conditions in order to maintain the steady state.

Dear student, let's examine the advantages and disadvantages of revolutionary change vs. evolutionary change.

4.3.1 Revolutionary change

Revolutionary change is the change-by-mandate. You will often see this type of change in reaction to (1) a leadership change or (2) a crisis. As examples: a new CIO comes in and reorganizes the department, or the IT department fails an audit.

Advantages and Disadvantages of Revolutionary Change

Advantages

- Low risk of the change failing to take effect.
- Change will occur quickly.
- Change will have any resources needed.
- Political cover. For example if another department doesn't like the change for some reason, and they escalate to their management, whoever mandated the change feels ownership over it and will be unlikely to back down. (Aside: this is not necessarily a good thing if the change is at the expense of the larger organization.)
- Looks good on résumés and annual reports.
- Feels planned. Mandates that come from the same person often fit together—for example a change this year to create a new Service Desk, followed by a change next year to implement a new Service Desk tool.

Disadvantages

- Change may not become part of the culture before focus shifts. The change may roll back a few months after leadership changes focus.
- Loss of political capital: because the change was less inclusive up front, political capital is lost.
- Job security for the leader: if the change does not provide the benefit expected, or otherwise fails, the people who mandated the change may lose their job. (Aside: setting this expectation is definitely a bad way to manage, as it creates huge incentives for leaders to make the change *look like* it worked.)
- Opportunity cost: other improvements may be needed but everyone is tied up working on the mandated improvement.
- Not necessarily a “good fit” for the organization: the current situation was likely not understood well, so the solution applied often leaves pain points or gaps.
- Often treats people like robots.

4.3.2 Evolutionary change

Evolutionary change is change by convincing people. One or more “change agents” see an opportunity for the organization to improve, and they pursue it by talking with other people and building a proposal/prototype that is iteratively shopped around. (Again, if you’re interested in this type of change see also “Riding the Maturity Model Wave,” which addresses how to conduct evolutionary change.)

As examples: project management techniques that spread with use or changes to an incident management process as teams figure out shortcuts. (Note: these changes are not necessarily documented.)

Advantages and Disadvantages of Evolutionary Change

Advantages

- Highly likely that, if the change is implemented, it will become part of the culture. More people have been involved in the design. More people identify with the change.

- Likely that the change fits the organization, understanding the current situation.
- More brains around the problem, leading to more thoughtful solutions.

Disadvantages

- Very risky up front. High likelihood that people will not understand or will not buy in to the change. Hard to build momentum.
- Haphazard. Changes may be introduced that do not move the organization towards where it needs to go. This is compounded if there is not an organizational “True North” or target condition.
- Can be “design-by-committee” where a sense of central direction is lost. Especially true if there is not one clear owner/change agent.
- Hard to find people who are good at making evolutionary change. It is a skill. What’s more, these people rarely take credit for their work so you might not know who they are.

4.5. Business Process Reengineering (BPR)

Activity 11: Dear students, can you define a business process reengineering (BPR)?

Davenport and short (1990) define business process as “a set of logically related tasks performed to achieve a defined business outcome.” In their view, processes have two important characteristics.

- they have customer that is , processes have defined out comes and there are recipients of the out comes
- they cross organizational boundaries , that is they normally occur across or between organizational subunits

Davenport and short (1990) have categorized business processes according to three dimensions

- organizational entities or subunits involved in the process (inter –organizational , inter functional , and interpersonal processes)
- the type of objects manipulated (physical and informational processes)

BPR is a business management strategy. Originally pioneered in the early 1990s focusing on the analysis and design of workflows and processes within an organization BPR aimed to help organizations fundamentally rethink how they do their work in order to dramatically improve customer service, cut operational costs ,and become world –class competitors in the mid -1990s as many as 60% of the fortune 500 companies claimed to either have initiated reengineering efforts or to have plans to do so BPR seeks to help companies radically restructure their organizations by focusing on the ground up design of their business processes. A business process is a set of logically related tasks performed to achieve a defined business outcome. Re-engineering emphasized a holistic focus on business objectives and how processes related to them encouraging full-scale recreation of processes rather than the optimization of sub processes.

BPR is also known as business process redesign, business transformation, or business process change management.

BPR began as a private sector technique to help organizations fundamentally rethink how do their works in order to dramatically improve customer service, cut operational costs and become work –class competitors. a key stimulus for re-engineering has been the continuing development and deployment of sophisticated information systems and networks. Leading organizations are becoming bolder in using this technology to support innovative business processes, rather than refining current ways of doing work.

BPR is basically rethinking and radically redesigning as organization’s existing resources. BPR, however, is more than just business improving: it is an approach for redesigning the way work is done to better support the organization’s mission and reduce costs? Reengineering starts with a high-level assessment of the organization’s mission strategic goals, and customer needs basic questions are asked, such as “does our mission need to be redefined? Are our strategic goals aligned with our mission? Who are our customers? An organization may find that it is operation on questionable assumptions, particularly in terms of the wants and needs of its customers. Only after the organization rethinks what is should be doing, does it go on to decide how best to do it.

Within the framework of this basic assessment of mission and goals, re-engineering focuses on the organization's business processes-the steps and procedures that govern how resources are used to create products and services that meet the needs of particular customers or markets.

Re-engineering identifies analyzes, and re-designs an organization's core business with the aim of achieving dramatic improvements in critical performance measures, such as cost, quality, service and speed.

Re-engineering recognizes that an organization business processes are usually fragmented in to sub processes and tasks that are carried out by several specialized functional areas within the organization often no one is responsible for the overall performance of the entire process.

Re-engineering focuses on re-designing the process as a whole in order to achieve the greatest possible benefits to the organization and their customers. This drive for realizing dramatic improvements by fundamentally re-thinking how the organization's work should be done distinguish re-engineering from process improvements effort that focus on functional or incremental improvement.

The most notable definitions of re-engineering are

- ✱ "...the fundamental rethinking and radical redesign of business processes to achieve dramatic improvements in critical contemporary modern measures of performance, such as cost, quality service, and speed."
- ✱ "Encompasses the envisioning of new work strategies, the actual process design activity and the implementation of the change in all its complex technological human and organizational dimensions."

BPR is different from other approaches to organization development (OD) especially the continuous improvement or TQM movement by virtue of its aim for fundamental and radical change rather than improvement. In order to achieve the major improvements BPR is seeking for the change of structural organizational variables and other ways of managing and performing work is often considered as being insufficient. For being able to reach the achievable benefits fully. The use of information technology (IT) is conceived as a major contributing factor while IT traditional has been used for supporting the existing business function i.e. it was used for

increasing organizational efficiency it now plays a role as enabler of new organizational forms and patterns of collaboration within and between organization citations citation needed.

BPR derives its existence from different disciplines and major areas can be identified as being subjected to change in BPR- organization, technology, strategy, and people –where a process view is used as common framework for considering these dimensions.

Business strategy is the primary driver of BPR initiatives and the other dimensions are governed by strategy's encompassing role. The organization dimension reflects the structural elements of the company, such as hierarchical levels, the composition of organizational units, and the distribution of work between them citation needed. Technology is concerned with the use of computer systems and other forms of communication technology in the business in BPR information technology is generally considered as playing a role as enabler of new forms of organizing and collaborating rather than supporting existing business functions. The people human resources dimension deals with aspects such as education, training, motivation and reward system.

The concept of business processes –interrelated activities aiming at creating a value added output to a customer –is the basic underlying idea of BPR these processes are characterized by number of attributes: process ownership, customer focus, value adding and cross –functionally.

On the other hand Hammer and Champy (1993) define business processes as “a collection of activity that takes one or more or kinds of input and creates an output that is of value to the customer “example of processes include developing a new product ordering goods from a supplier creating a marketing plan processing and paying an insurance claim etc.

Hammer (1990) also has defined business process reengineering as “the use of information technology to radically redesign business processes in order to achieve dramatic improvements in their performance there year later. Hammer and Champy (1993) have promoted the definition of BPR to the fundamental rethinking and radical redesign of business processes to achieve dramatic improvements in critical. Contemporary measures of performance such as cost quality, service and speed.

When we examine the above definition provided, we extract four elements that need critical attention these are fundamental, radical, dramatic, and process let us examine each one by one.

Fundamental. Understanding the fundamental operations of business is the first step prior to reengineering businesses people must ask the most basic questions about their organizations and how they operate what do we do what we do and why do we do it the way we are asking these basic questions lead people to understand the fundamental operation and to think why the old rules and assumptions exist often these rules and assumptions are inappropriate and obsolete.

Radical. Radical redesign means disregarding all existing structures and procedures and inventing completely new ways of accomplishing work reengineering is about business reinvention begins with no assumptions and takes nothing for granted.

Dramatic. Reengineering is not about making marginal improvements or modification but about achieving dramatic improvement in performance there are three kinds of companies that undertake reengineering in general first are organizations that find themselves in deep trouble they have no choice .second are organizations that foresee themselves in trouble because of changing economic environment, there are organization that are in the peak conditions. They see reengineering as a chance to further their lead over competitors

Processes: the final key word “process though the most important in the definition is the one that gives most corporate managers the greatest difficulty. most business people are not process oriented they are focused on tasks on jobs on people on structures but not on processes

Why is business process reengineering necessary?

Hammer M and Champ in their famous work reengineering of the corporation remarked that economy's present problem is that is trying to enter the twenty –first century with enterprises designed in the nineteenth century the two authors insisted on the necessity of a radical redesigning of processes of organizing and of mentalities within enterprises .there are three forces that radically change the economic environmental of organizations and which make it impossible to apply the old principles of functioning (labor division, managerial hierarchy etc) and these forces are customers , customer's competition and change.

Many companies used reengineering as pretest to downsize their companies dramatically though this was not the intent of reengineering proponents. Consequently, reengineering earned a reputation for being synonymous with downsizing and layoffs.

In many circumstances reengineering has not always lived up to its expectations. some prominent reasons include:

- Reengineering assumes that the factor that limits an organization's performance is the ineffectiveness of its processes (with may or may not be true) and offered no mean of validating that assumption.
- Reengineering assumes the need to start the process of performance improvement with a clean slate i.e. totally disregard the status quo.

The role of information technology

Information technology (IT) has historically played an important role in the reengineering concept .it is considered by some as a major enabler for new forms of working and collaborating within an organization and across organizational borders citation needed.

Early BPR literature identified several so called disruptive technologies that were supposed to challenge traditional wisdom about how work should be performed,

- Shared databases, making information available at many places
- Expert systems, allowing generalists to perform specialist tasks.
- Telecommunication networks, allowing organizations to be centralized and decentralized at the same time.
- Decision- support tools, allowing decision making to be a part of every body's job
- Wireless data communication and portable computer, allowing field personnel to work office independent.
- Interactive videodisk, to get in immediate contact with potential buyers.
- Automatic identification and tracking, allowing telling where they are, instead of requiring to be found.
- High performance computer, allowing on-the fly planning and revising.
- In the mid-1990s, especially work flow management systems were considered as a significant contributor to improved process efficiency. Also ERP (Enterprise Resource planning) venders,

such as SAP, JDEdward, Oracle, people soft, positioned their solutions as vehicles for business process redesign and improvement.

Although the label and steps differ slightly, the early methodologies that rooted in IT-centric BPR solutions share many of the same basic principles and elements. The following outline is one such modal, based on the PRLC (process reengineering life).

Approach developed by Guha. Simplified schematic outline of using a business process approach, exemplified for pharmaceutical process.

1. Structural organization with functional units.
2. Introduction of new product development as crosses functional process.
3. Re- structuring and streamline activities, removal of non-value adding tasks.

Benefiting from lessons learned from the early adopters, some BPR practitioners advocated a change in emphasis to a customer-centric, as opposed to an IT centric, methodology. One such methodology, that also incorporated a risk and impact assessment to account for the impact that BPR can have on jobs and operations, was described by Lon Roberts (1994). Roberts also stressed the use of change management tools to proactively address resistance to change a factor linked to demise of many reengineering initiatives that looked good for the drawing board. Some items to use on a process analysis checklist are: Reduce handoffs, centralize data, reduce delays, free resources faster, and combine similar activities. Also with in the management consulting industry, a significant number of methodological approaches have been developed.

4.6. BPR Process

In the BPR field, reengineering should focus on processes and not be limited to thinking about the organizations. After all, the organizations only as effective as its processes. So, what is a process? “A business is a series of steps designed to produce a product or a service. It includes all the activities that deliver particular results for a given customer (external or internal).”

Talking about the importance of processes just as companies have organization charts, they should also have what are called process maps to give a picture of how work flows through the

company. Process mapping provides tools and a proven methodology for identifying your current As-Is business processes and can be used to provide a To-Be roadmap for reengineering your product and service business enterprise functions. It is the critical link that your reengineering team can apply to better understand and significantly improve your business processes and bottom-line performance.

Steps in process redesigning

Assuming that an organization has decided its processes are inefficient or in effective, and therefore in need of redesign, how should it proceed? This is a straight forward activity, but davenport and short (1990) prescribe a five-step approach to BPR:

Five steps in process redesign

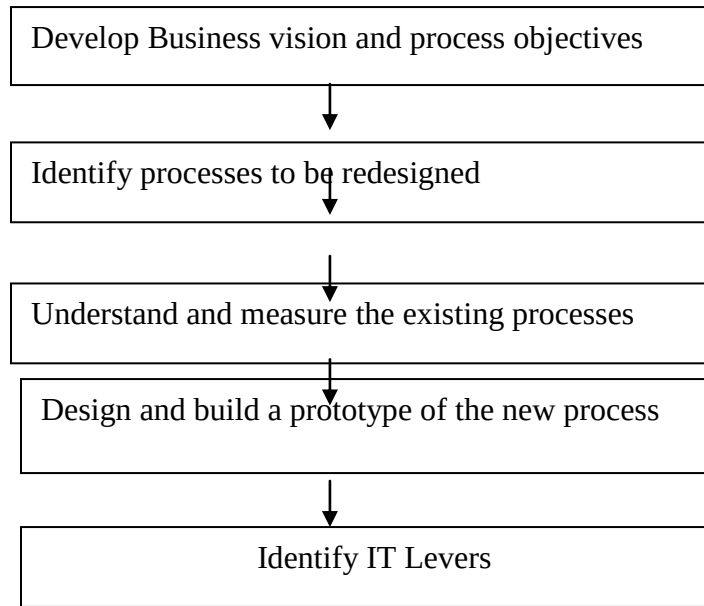


Fig 4.1. Business Process

1. **Develop business Vision and process objectives:** BPR is driven by a business vision which implies specific business objectives such as cost reduction, time reduction, output quality improvement, quality of work life (QWL) /Learning/ empowerment.
2. **Identify processes to be redesigned:** organizations should identify what is to be redesigned and then prioritize them in order of redesign urgency.

3. **Understand and measure the existing processes:** understanding and measuring the existing processes before redesigning them is especially important, because problems must be understood so that they are not repeated. On the other hand, accurate measurement can serve as a baseline for future improvements.
4. **Identify information technology (IT) levers:** in the broadest sense, all of its capabilities involve improving coordination and information access across organizational units, thereby allowing for more effective management of task interdependence. An awareness of IT capabilities can-and should-influence process design. Therefore, the role of IT in a process should be considered in the early stages of its redesign.
5. **Design and build a prototype of the new process:** the actual design should not be viewed as the end of the BPR process. Rather, it should be viewed as prototype, with

Successive result expected and managed. Key factors and tactics to consider in process design and prototype generation include using IT as a design tool, understanding generic design criteria, and creating organizational prototypes.

These prototypes of business process changes and organizational redesign initiatives, after agreement by owners and stakeholders, would be implemented on a pilot basis, examined regularly for problems and objective achievement, and modified as necessary. As the process approached final acceptance, it would be phased into full implementation.

4.7. BPR Techniques and Tools

How to reengineer?

With an understanding of the basics of BPR, five methodologies are summarized and consolidated methodology has been developed from the five methodologies to provide a structured approach to facilitate understanding. But for the sake of brevity, we will deal with the details of the following methodologies and techniques.

1. Prepare for reengineering. “if you fail to plan to fail”. Planning and preparation are vital factors for any activity or event to be successfully and reengineering is no exception. Before

attempting reengineering, the question “is BPR necessary?” should be asked? There should be a significant need for the process to be reengineered. The justification of this need marks the beginning of the preparation activity.

This activity begins with the development of executive consensus on the importance of reengineering and the link between break through business goal and reengineering projects. A mandate for change is produced and a cross-functional team is established with a game plan for the process of reengineering. While forming the cross functional team, steps should be taken to ensure that the organization continues to function in the absence of several key players.

The impact of the environmental changes that serve as the impetus for the reengineering effort must also be considered in establishing guidelines for the reengineering project. Another important factor to be considered while establishing the strategic goals for the reengineering effort is to make it your first priority to understand the expectations of your customers and where your existing process falls short of meeting those requirements. Having identified the customer driven objectives, the mission or vision statement is formulated.

The vision is what an organization believes it wants to achieve when it is done, and a well-defined vision will sustain a company’s resolve through the stress of the reengineering process. It can act as the flag around which to rally the coops when the morale begins to sag and it provides the yard stick for measuring the organization progress.

2. Map and analyze as-is process. Before the reengineering team can proceed to redesign the process they should understand the existing process. The important aspect of BPR is that the improvement should provide dramatic results.

Many people do not understand the value of an as-is analysis and rather prefer to spend a larger chunk of their valuable time on designing the to-be model directly. What follows is an illustration that justifies this fallacy.

The main objective of this phase is to identify disconnects (anything that prevents the process from achieving desired results and in particular information transfer between organizations or people) and value adding processes. This is initiated by first creation and documentation of activity and process models making use of the various modeling methods available. Then, the

amount of time that each activity takes and the cost that each activity requires in terms of resources is calculated through simulation and activity based costing (ABC). All the groundwork required having been completed the processes that need to be reengineered are identified.

3: Design To-Process. The objective of this phase is to produce one or more alternatives to the current situation, which satisfy the strategic goals of the organization.

The first step in this phase is benchmarking. "Benchmarking is the comparing of both the performance of the organization's processes and the way those processes is conducted with those relevant peer organizations to obtain ideas for improvement." The peer organizations need not be competitors or even from the same sector innovative practices can be adopted from anywhere ,no matter what their source.

Having identified the potential improvements to the existing processes, the development of the TO –Be models is done using the various modeling methods available, bearing in mind the principles of process design. Then, similar to the as-is model, we perform simulation and activity based costing to analyze factors like the time and cost involved. It should be noted that this activity is a process and cannot be done overnight. The several TO-Be models that are finally arrived at are validated. By performing trade off analysis the best possible To-be scenarios are selected for implementation.

4. Implement Reengineered process. The implementation stage is where reengineering efforts meet the most resistance and hence it is before the most difficult one. The question that confronts us would be, if BPR promises such breaking taking results then why wasn't it adopted much earlier? We could expect to face all kinds of opposition-from blatantly hostile antagonists to passive adversaries: all of them determined to kill the effort.

When so much time and effort is spent on analyzing the current processes, redesigning them and planning the migration, it would indeed be prudent to run a culture change program simultaneously with all the planning and preparation. This would enable the organization to undergo a much more facile transition. But whatever may be the juncture in time that the culture change program may be initiated, it should be rooted in our minds that 'winning the heart and minds of everyone involved in the BPR effort is most vital for the success of the effort.

Once this has been done, the next step is to develop a transition plan from the as-is to the redesigned process. This plan must align the organizational structure, information systems, and the business policies and procedures with the redesigned processes. “Rapid implementation of the information system that is required to support a reengineered business process is critical to the success of the BPR project. The benefit here is that we can now define the causal and time sequential relationships between the activities planned.” Using prototyping and demonstrated. Training programs for the workers are initiated and the plan is executed in full scale.

5. Improve process continuously. A process cannot be reengineered overnight. A very vital part in the success of very reengineering effort lies in improving the reengineered process continuously. The first step in this activity is monitoring. Two things have to be monitored: the progress of action and the results. The progress of action is measured by seeing how much more informed the people feel, how much more commitment the management shows and how well the change teams are accepted in the broader perspective of the organization. This can be achieved by conducting attitude surveys and discrete ‘fireside chats’ with those initially not directly involved with the change. As for monitoring the results, the monitoring should include such measures as employee attitudes, customer perceptions, and supplier responsiveness.

Communication is strengthened throughout the organization; ongoing measurement is initiated, team reviewing of performance against clearly defined targets is done and a feedback loop is set up where in the process is remapped, reanalyzed and redesigned. There by continuous improvement of performance is ensured through a performance tracking system and application of problem solving skills.

Is total quality management the same as business reengineering? The total quality management process is not the same as the business process reengineering process. A lot of people who want to think they are doing reengineering say it is the same think as total quality management. But they are really doing incremental process improvement, not radical reengineering. Total quality management is not set up to handle the really radical changes of reengineering.

However, bringing total quality management in to the organization and doing it successfully requires radical change that business process reengineering is looking for, and therefore successful implementation of total quality management is an ideal example of what it means to

reengineer. Doing total quality management incorrectly can also be a perfect example of what can go wrong if reengineering is done incorrectly. Total quality management is not a set of processes.

Dear students, what are the five steps in process of redesigning? If you said that the five steps in process redesigning are: develop business vision and process objectives, identify process to be designed, understand and measure the existing process, identify information technology levers, and design and build a prototype of new process is very good.

The Relationship between BPR and Information Technology (IT)

Information technology (IT) refers to “the capabilities offered by computers, software applications, and telecommunications” davenport and short, 1990. Hammer (1990) considers it as the key enabler of BPR, which he considers as “radical change. He prescribes the use of it to challenge the assumptions inherent in the work processes that have existed since long before the advent of modern computer and communications technology.

Davenport and short (1990) argue that BPR requires taking a broader view of both it and business activity, and of the relationships between them. IT and BPR have recursive relationship. IT capabilities should support business processes, and business processes should be in terms of the capabilities IT can provide. Davenport and short (1990) refer to this broadened, recursive view of IT and BPR as “the new industrial engineering.”

Business processes represent a new approach to coordination across the firm; its promise-and its ultimate impact-is to be the most powerful tool for reducing the costs of coordination. Finally, davenport & short (1990) outline the following capabilities that reflect the roles that IT can play in BPR: transactional, geographical, automatically, analytical, informational, sequential, knowledge management, tracking, and disintermediation. Successes in reengineering would be difficult to consummate without the enabling IT. Application of shared computing resources and telecommunication technologies, systems are powerful enablers of process change. Attar an (2003) categorizes IT roles in BPR in to three phases.

Phase 1: Before the process design (as an enabler)

- Create infrastructures and manage information that support evolving organization,
- Foster process thinking in organizations,
- Identify and select process for redesign,
- Participate predicting the nature of change and anticipate the information needs to support that change,
- Educate IT staff in non-technical issues such as marketing, customer relationships, etc. and
- Participate in designing measures of success /failures of reengineering.

Phase 2: during the process design (as a facilitator)

- Bring vast amounts of information in to the process,
- Bring complex analytical methods to bear on the process,
- Enhance employees' ability to make more informed decisions with less reliance on formal vertical information flows,
- Identify enablers for process design,
- Capture the nature of proposed change and match IT strategy to that change,
- Capture and disseminate knowledge and expertise to improve the process, communicate ongoing results of the BPR effort,
- Transform unstructured processes into reutilized transactions,
- Reduce replace labor in a process,
- Measure performance of current process,
- Define clear performance goals and objectives to drive the implementation.

- Define the boundaries and scope on the process.

Phase 3: During the implementation (as a implementer)

- Create a digital feedback loop,
- Establish resource for critical evaluation of the reengineered process,
- Improve IT processes to meet increasing needs of those divisions that have gone under reengineering processes,
- Institute a program of “cleanup” and damage control in case of failure,
- Communicate ongoing results of the BPR effort,
- Help to build commitment to BPR, and
- Evaluate the potential investment and return of reengineering efforts.

As you can see from the above explanation, information technology plays an essential role in redesigning the economic processes though it should not be made absolute. IT is part of every BPR being a catalyst which allows the organization to reorganize its internal processes. The introduction of IT to solve a basic problem does not necessarily presuppose a BPR. An inadequate utilization of IT may block completely the process of reengineering by consolidating and automating the old way of thinking and behavioral models.

Davenport and short (1990) say that in achieving BPR an important role is played by relation between IT and economic processes. It means more than autoimmunization, it is a force capable to change the way of achieving the economic processes fundamentally. The relationship between IT and economic processes is recursive. IT facilities should be a support for economic processes and economic processes should be stated in terms of facilities offered by IT. Davenport and short call this recursive relationship “the new industrial engineering”. they identified the following roles of IT within BPR: transactional, communication autoimmunization, analytical, informational, knowledge management checking and intermediation.

4.8. Implementation of BPR

Besides the common barriers to effective implementation BPR described by attar an (2003), as time passes, some myths concerning the BPR concept also represent obstacles in front of BPR project. The seven myths of BPR described by Grover and Malhotra (1997) are as follow:

1. ``Reengineering is a radical one-time approach`` is changing as many firms are not willing to invest the money and time to implement change from a ``clean state``.
2. ``Reengineering involves breakthrough performance gains`` is being challenged as bench marking and measurement of these gains can prove elusive.
3. ``Reengineering enables changes primarily through IT`` is being moderated by the numerous organizational innovations involving people, jobs, skills and structures that facilitate process- oriented behaviors.
4. ``Reengineering should focus on cross-functional core business processes`` is fine, but many piecemeal improvements with functions can also add upto significant change and have proven very successful.
5. ``Reengineering enhance individual capacities through empowerment and team: is all well and good but many process-change projects are being defended based on cost objectives achieved through downsizing with few opportunities for retraining.
6. ``Reengineering must be conducted from the top down `` is being challenged since often detailed understanding of process design resides with people who do the work.
7. ``Reengineering can use a standardized set of methods touted by armies of consultants`` is being questioned given that no standardized approach exists to date.

4.9. Other kinds of Change

4.8.1. Kaizen

Philosophy of on-going improvement: a Japanese business philosophy advocating the need for continuous improvement in somebody's personal and professional life

Japanese for gradual and orderly continuous improvement over a long period of time with minimum financial investment, and with participation by everyone in the organization.

Improvement in all areas of business serves to enhance quality of the firm.

Three things required for successful kaizen program: operating practices, total involvement, and training.

Operating practices expose opportunities for improvement. JIT reveals waste and inefficiency as well as poor quality

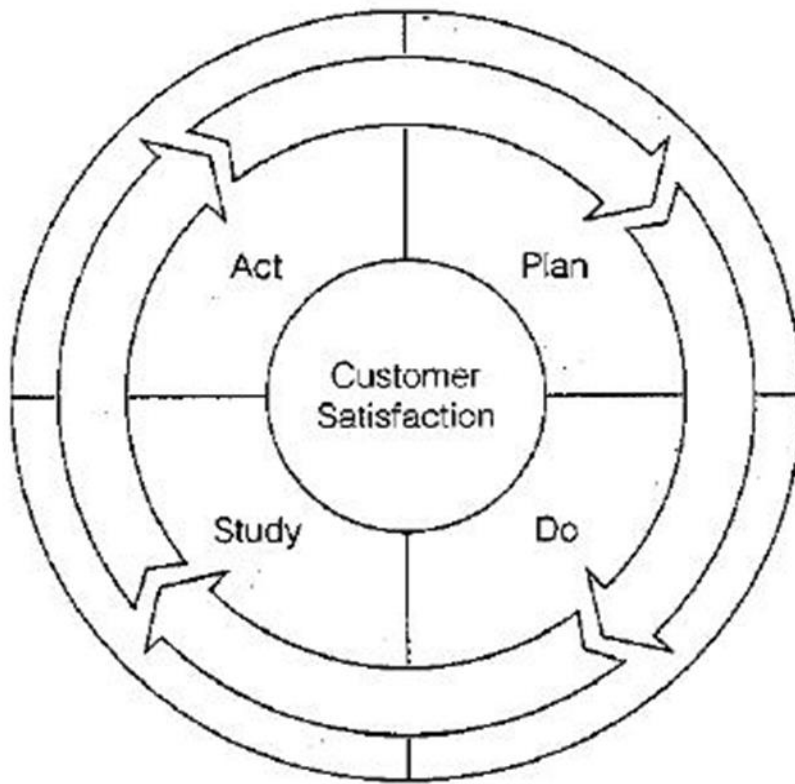
Every employee strives for improvement. Top management views improvement as part of strategy and supports it. Middle management can implement top management's improvement goals by establishing, maintaining, and upgrading operating standards. Workers can engage through suggestions, small group activity.

Middle management can help create conducive environment for improvement by improving cooperation amongst departments, and by making employees conscious of their responsibilities for improvement.

Supervisors can direct their attention more on improvement than supervision, which will facilitate communication.

Kaizen: Implementation

The Deming cycle: Originally developed by Walter Shewart, but renamed in 1950s because Deming promoted it extensively.



Plan – Study the current system; identifying problems; testing theories of causes; and developing solutions.

Do – Plan is implemented on a trial basis. Data collected and documented.

Study – Determine whether the trial plan is working correctly by evaluating the results.

Act – Improvements are standardized and final plan is implemented.

Variation of PDSA cycle: FADE – Focus, Analyze, Develop, Execute cycle!

Juran's breakthrough sequence:

1. Proof of the need
2. Project identification
3. Organization for breakthrough – two paths identified: *symptom to cause* (diagnostic) and *cause to remedy* (remedial) paths.
4. Diagnostic journey
5. Remedial journey
6. Holding the gains.

Seven QC Tools

1. Flow charts
2. Check sheets
3. Histograms
4. Pareto diagrams
5. Cause-and-effect diagrams
6. Scatter diagrams
7. Control charts

Flow charts

- Process map identifies the *sequence of activities* or the flow in a process.
- Objectively provides a *picture of the steps* needed to accomplish a task.
- Helps all employees understand *how they fit into the process* and who are their suppliers and customers.
- Can also pinpoint places where quality-related measurements should be taken.
- Also called process mapping and analysis.
- Very successfully implemented in various organizations. e.g. Motorola reduced manufacturing time for pagers using flow charts.

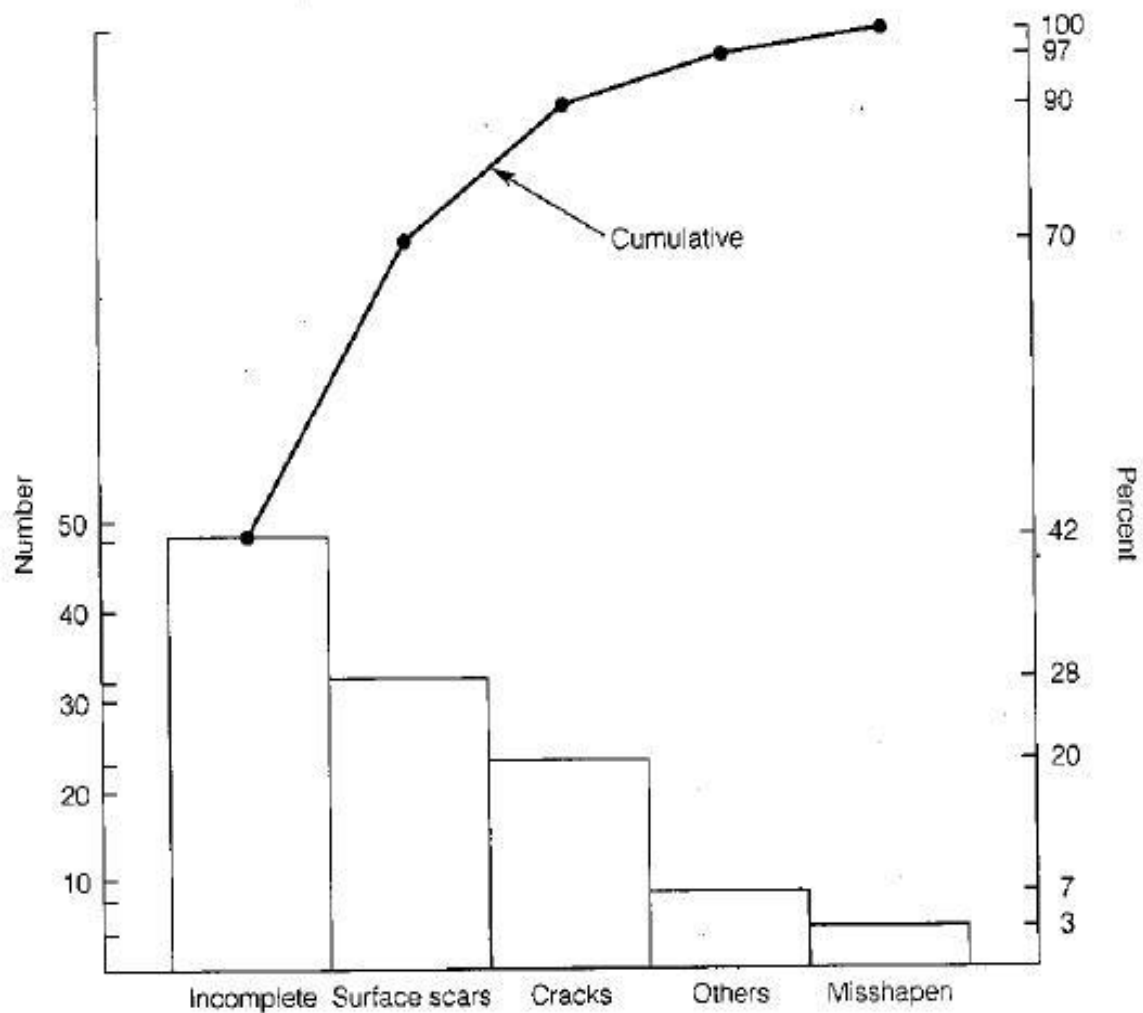
Check sheets

- Special types of data collection forms in which the results may be interpreted on the form directly without additional processing.
- Data sheets use simple columnar or tabular forms to record data. However, to generate useful information from raw data, further processing generally is necessary.
- Additionally, including information such as specification limits makes the number of nonconforming items easily observable and provides an immediate indication of the quality of the process.

Pareto diagrams

Based on the *85-15 Pareto distribution*. Helpful in identifying the quality focus areas. Popularized by Juran.

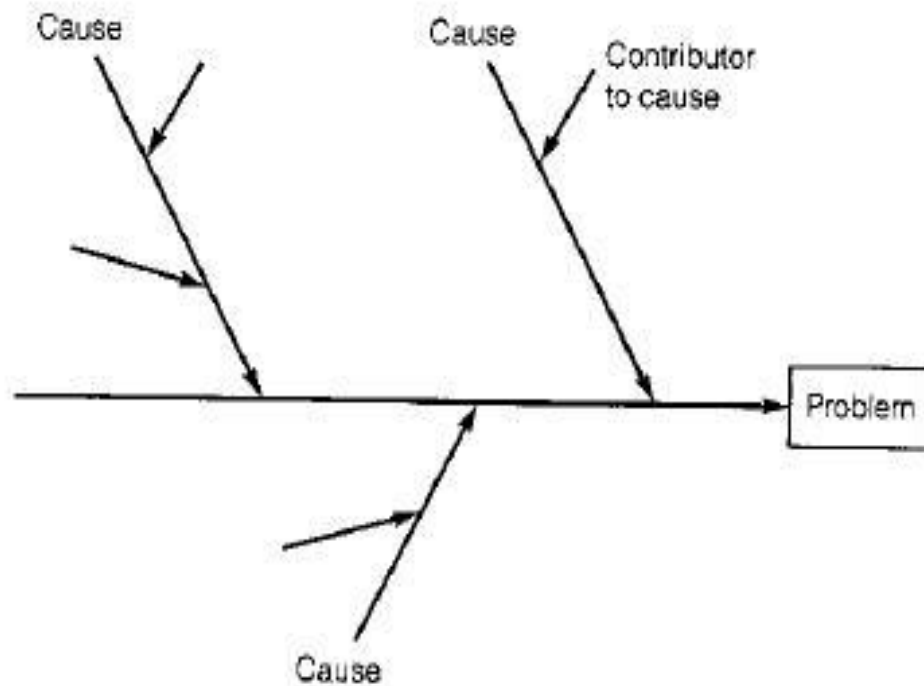
It is a histogram of the data from the largest frequency to the smallest.



Cause-effect diagrams

- Also called *fishbone diagrams* (because of their shape) or Ishikawa diagrams.

- Helps in identifying root causes of the quality failure. (Helps in the *diagnostic journey*.)



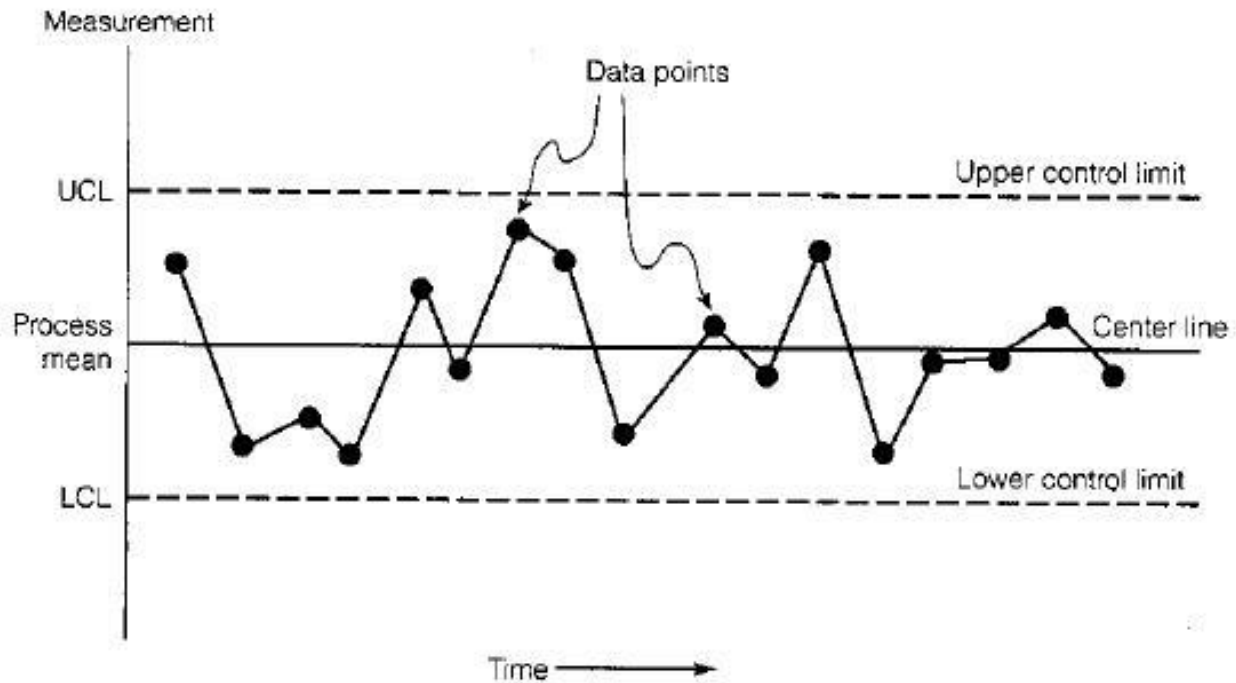
Scatter diagrams

- Graphical components of the regression analysis.
- Often used to point out *relationship between variables*. Statistical correlation analysis used to interpret scatter diagrams.

Run charts and Control charts

Run chart: Measurement against progression of time.

Control chart: Add Upper Control Limit and Lower Control Limit to the run chart.



TQM for the Workforce

Kaizen teams

Quality Circles

- *Teams of workers and supervisors* that meet regularly to address work-related problems involving quality and productivity.
- Developed by *Kaoru Ishikawa* at University of Tokyo.
- Became immediately popular in Japan as well as USA.
- Typically *small day-to-day problems* are given to quality circles. Since workers are most familiar with the routine tasks, they are asked to identify, analyze and solve quality problems in the routine processes.

Kaizen blitz

An intense and rapid improvement process in which a team or a department throws all its resources into an improvement project over a short period of time.

Short time “burst” rather than long range simmer- hence the name.

Blitz teams usually comprise of employees from all areas involved in the process who understand it and can implement the changes on the spot.

A. Poka-Yoke (Mistake proofing)

- Approach for mistake-proofing processes using automatic devices or methods to avoid simple human error.
- Developed and refined in the 1960s by the late Shigeo Shingo, a Japanese manufacturing engineer who developed the Toyota production system.
- Focused on two aspects:
 1. Prediction – Recognizing that a defect is about to occur and provide a warning.
 2. Detection – Recognizing that a defect has occurred and stop the process.

4.8.2 Six Sigma

- Business improvement approach that seeks to find and eliminate causes of defects and errors in processes by focusing on outputs that are critical to customers.
- The term Six Sigma is based on a statistical measure that equates 3.4 or fewer errors or defects per million opportunities.
- Motorola pioneered the concept of Six Sigma.
- The late Bill Smith, a reliability engineer is credited with conceiving the idea of Six Sigma.
- GE (specifically CEO Jack Welch) extensively promoted it.

Core philosophy based on key concepts:

- Think in terms of key business processes and customer requirements with focus on strategic objectives.
- Focus on corporate sponsors responsible for championing projects.
- Emphasize quantifiable measures such as defects per million opportunities (*dpmo*).
- Ensure appropriate metrics is identified to maintain accountability.
- Provide extensive training.
- Create highly qualified process improvement experts -“belts”.
- Set stretch objectives for improvement.

Contrasts between traditional TQM and Six Sigma (SS) -

TQM is based largely on worker empowerment and teams; SS is owned by business leader champions.

TQM is process based; SS projects are truly cross-functional.

TQM training is generally limited to simple improvements tools and concepts; SS is more rigorous with advanced statistical methods.

TQM has little emphasis on financial accountability; SS requires verifiable return on investment and focus on bottom line.

Summary

Every change varies in scope and depth. All change is not the same. There are two types of change: transitional change and transformational change. Transitional change is mainly known for current way of doing things are replaced by something new. Whereas, the transformational change is the most radical change which requires a leap of faith for the organization thus, determining what kind of change an organization requires is clearly vital for the depth and complexity of implementation grow significantly from development.

Change in an organization can be planned or unplanned. Planned change is the result of a specific change agent and unplanned change is random or spontaneous. Whether the change is planned or unplanned leaders must manage change effectively, something that was not done in the past. In order to accept a change by employees, an organization must have a clear define vision. The vision also must be one that is concrete and drives movement towards measurable goals.

Unplanned change can be disruptive or beneficial. Revolutionary change is immediate and dramatic whereas evolutionary change is gradual and manmade.

To be a truly world-class organization, the organization needs to work as a team and all the functional areas of the business need to be properly integrated, with each understanding the importance of cross functional processes. As the basis of competition changes from cost and quality to flexibility and responsiveness, the value of process management is now being recognized. The role that process management can play in creating sustainable competitive advantage was termed business process reengineering (BPR), and was first introduced by hammer, davenport and short.

Business process reengineering is the fundamental rethinking and radical redesign of business processes to achieve dramatic improvements in critical measures of performance. In order to bring about a complete organizational transformation, the jobs, organizational structures, management systems, and values and beliefs need to align to the redesigned business processes. Once processes are identified the next task is choosing which the processes to reengineer.

It is difficult to reengineer all the processes simultaneously. Therefore, the organization should carefully select and decide on the processes that have the highest priority for action. In order to

prioritize the candidates for reengineering, organizations can use the three selection criteria given below.

The success of a modern organization depends on the ability of IT architecture of meeting the ever changing informational requirement of economic processes. IT architecture is the necessary platform for the functional and structural reorganization of an organization for the defining and dynamic implementation of economic processes as sets of Interco related activities carried out to reach a major organizational objective. The main objective of using here is to support radical change, not to automate the old processes.

IT development and implementation presupposes a strategic outlook which is to be ensured by the information systems known –how the IT support in BPR is weak. Information systems experts are the ones who can achieve the holistic framework of technical components which must be implemented gradually to offer support to new economic processes.

Self -Assessment Questions

Part I: Write True if the statements are correct and false if the statements are incorrect.

1. Planned change is the result of a specific change agent and unplanned change is random or spontaneous.
2. Organizational change can be any alterations in people, structure, or technology.
3. Business process reengineering is a business management strategy.

Part II: Multiple-Choice Questions

1. Which of the following **is/are** element(s) of BPR?
 - A. Rethinking the theory of business
 - B. Using information technology not to automatic out-dated process but to redesign new ones
 - C. Encourages training and development by building creative work environment
 - D. Breaking away from conventional wisdom and the constraints of the organisational boundaries
 - E. All
2. Which of the following is a **false** statement?
 - A. Six sigma is business management strategy originally developed by Motorola
 - B. The term "Six Sigma" comes from a field of statistics known as process capability studies.
 - C. Six sigma is process of comparing the organization practices and techniques with those of other companies
 - D. Six sigma strives to attain a defect rate of no more than 3.4 per million

Part III. Give answer for the following questions.

1. Scrutinize the difference between planned changes and unplanned changes?
2. Clarify the difference between transitional change and transformational changes
3. Distinguish between the revolutionary change and evolutionary change?
4. What is the role of information technology in business process reengineering?

CHAPTER FIVE

CONFLICTS AND CONFLICT MANAGEMENT

Learning Objectives:

After studying this unit, you should be able to:

- * Explain the meaning and nature of conflict
- * Identify the consequences of conflict
- * Figure out main sources of conflict
- * Understand how to analyze conflict situation and interpersonal relations
- * Understand how to handle conflict

5.1. Meaning and Nature of Conflict

Definitions of conflict

Conflict, like change, will always occur given the dynamics of human interactions. It will occur between family members, workers, colleagues, supervisors, boards of management in our work or play environments, between organizations and within organizations. Why is this? Because we all have different interests, goals, perceptions, viewpoints, values and experiences.

The paradox of conflict is that it is both the force that can tear relationships apart and the force that binds them together, meaning that they can be either healthy (constructive) or unhealthy (destructive). This dual nature of conflict makes it an important concept to study and understand. It is normal for people to live and work well together to have conflicts from time to time.

We disagree with each other because we each see the world differently, and we have *different ideas* about what we want and how to do things. Our individual and collective backgrounds and experiences, e.g. in cultural, spiritual, political and economical aspects, are different.

Some Definitions of conflict

- Conflict: An issue between two or more parties who have (or think they have) incompatible goals or ideas. Conflicts may involve deep-rooted moral or value differences, high-stakes distributional questions, or can be about who dominates whom.

- **Dispute:** Short-term disagreements that are visible on the surface and relatively easy to resolve, because they involve interests that are negotiable. Disputes often exist within a larger, longer and more deep-rooted conflict.
- **Conflict Prevention:** To prevent a conflict from escalating violently or to take action before a violent outbreak of a conflict emerges
- **Conflict Settlement:** The imposition of a settlement by a third party, for example through a Judge or an Arbitrator.
- **Conflict Management:** To regulate a conflict and to reduce its negative effects.
- **Conflict Resolution:** To address the underlying issues of a conflict and to focus on the relationship and communication between the parties.
- **Conflict Transformation:** To overcome the root and structural causes of conflict and to strengthen conflict solving capacities in individuals, communities and society

5.2. Types of Conflict

Though usually people think of it as a bad thing, conflict can be a positive occurrence within an organization to bring about change. Two types of conflict are dysfunctional (negative conflict) and functional conflict (positive conflict).

Activity 12: Do you think conflict is always negative? Explain. _____

When most people hear the word conflict, they think of the term in a negative manner. Surprisingly, conflict can actually be a positive within an organization. Conflict can bring about change, improve situations and offer new solutions. Two types of conflict that can occur within a company are functional and dysfunctional. *Functional conflict* is healthy, constructive disagreement between groups or individuals, while *dysfunctional conflict* is unhealthy disagreement that occurs between groups or individuals.

Functional Conflict

Susie Steel is a vice president in a real estate development firm called Hearts Development. She has spent enormous amounts of energy cultivating a relationship with a local town regarding an available plot of land. Susie would like to purchase the land to build townhomes for sale. She has developed an excellent relationship with the town politicians and community members.

An issue has developed over the planned usage of the land, though. The town will sell the land to Susie's company but feels that townhomes would be bad for the overall community. They're concerned with the additional cost and burden of kids that the townhomes would bring into the community. Susie understands the community's concern and wants a **win-win situation** to occur. She feels that this issue will be a functional conflict due to the fact that the disagreement will bring a positive end result to both parties. Positive results of functional conflict include:

- Awareness of both sides of issues
- Improvement of working conditions due to accomplishing solutions together
- Solving issues together to improve overall morale
- Making innovations and improvements within an organization

In Susie's case, constructive criticism and discussion resulted in a compromise and a solution between the parties. Susie understood the town's concern but needed to find something to build that would bring revenue for the company. Through their joint meetings, the end solution was for Hearts Development to build a retirement community, which would only have citizens 55 and over living in the town. This would eliminate the issue of having more young people come into town and burden the school system.

Dysfunctional Conflict

Sometimes, conflict can be a very negative experience for companies. Susie's colleague, John Dirt, is also a vice president of development at Hearts. He also has a major conflict regarding a construction project. He is looking to build a nuclear power plant in an East Coast town. The town is vehemently against having a power plant, and the discussions have been heated in conflict. This is a **win-lose situation**, or a dysfunctional conflict. Most dysfunctional conflicts are unhealthy and stem from emotional or behavioral origins.

The town is very emotional over the fact that a possible nuclear power plant could be built in their neighborhood. They are extremely concerned with the danger and health issues. John Dirt has had to use threats, personal attacks and deception in order to get his power plant plans passed by the town. Negative results of dysfunctional conflict include:

- Individuals use threats, verbal abuse and deception, which destroy relationships
- Both parties can end up losing in this type of conflict
- This type of conflict can lead to retaliation and further acts of negativity

Unfortunately, the situation ended very poorly for John Dirt and Hearts Development. The company ignored the wishes of the residents and ended up building the nuclear power plant. Protests from the community happened daily outside the plant. After two years of operation, a leak occurred, causing damage to the environment and to the health of the citizens. In the end, the plant was shut down, and the company took a huge loss. The community ended up suing Hearts for damages, and many of the citizens had long-term illnesses develop from the leakage. This could all have been avoided if the conflict could have been changed from dysfunctional to functional conflict.

Nature of Conflict

1. The Ubiquity (omnipresence) of Conflict

Conflict is a disagreement between two or more parties who perceive that they have incompatible concerns

- Intrapersonal Conflicts
- Interpersonal Conflicts
- Intra- group Conflicts
- Intergroup Conflicts
- Inter-organization Conflicts
- Intra-racial Conflicts
- Inter-racial Conflicts
- Inter-gender Conflicts
- Inter-class Conflicts
- Inter-regional Conflicts
- Inter-cultural Conflicts
- International Conflicts

2. Two Views of Conflict

(i). Traditional View

Conflict is bad and should be avoided

(ii) Contemporary View:

Conflict is neither inherently bad nor good but is inevitable and structurally induced

3. Two Consequences of Intergroup Conflict

(i) Functional Conflict: Intergroup conflict that enhances organizational performance

- Increases problem awareness
- Increases self- and other awareness
- Increased exchange of information and knowledge
- Improved decision processes
- Increased innovativeness and creativity
- Enhanced motivation and morale
- Decreased tensions
- Enhanced psychological maturity

(ii) Dysfunctional Conflict: Intergroup conflict that leads to the decline of organizational performance

General Organizational Consequences

- Increased stress and burnout
- Reduced organizational performance
- Reduced morale and job satisfaction
- Reduced loyalty to organization
- Waste of resources and time

Dysfunctional Changes between Groups

- Increased hostility and distrust
- Distorted perception
- Negative stereotyping
- Decreased communication

Changes within Groups

- Increased group cohesiveness
- Increased loyalty to the group rather than to the organization
- Rise in autocratic leadership
- More task-oriented

4. Why Intergroup Conflict Occurs

i) Goal Incompatibility

- Mutually exclusive goals
- Limited resources
- Reward structures
- Different values

ii) Structural Interdependence

- Task interdependence
- Lack of substitution
- Power differentials

iii) Different Perceptions

- Different goals
- Different time horizon
- Different role expectations
- Different information environment
- Different knowledge base
- Difference in information processing

iv) Different organizing principles

- Autonomy vs. Interdependence
- Analyzing vs. Synthesizing

5. Cultural Dimensions of Group Conflict

(i) Location Dimension

- National
- Professional
- Organizational
- Governance

(ii) Value Dimension

- Power distance
- Uncertainty avoidance
- Individualism
- Masculinity
- Long-term

6. Managing Intergroup Conflict through Conflict Resolution

(i) Five Strategies

- ✓ Dominating
- ✓ Avoiding
- ✓ Obliging
- ✓ Compromising
- ✓ Integrating

(ii) Two dimensions

- Distributive Dimension: win-lose
- Integrative Dimension: win-win

(iii) Differences in strategic choice:

- U.S: competitive conflict resolution
- Japan: cooperative conflict resolution

5.3. Sources of Conflict

The effective management of workplace conflict requires an understanding of the nature and sources of conflict in the workplace. Conflict occurs when there is a perception of incompatible interests between workplace participants. This should be distinguished from disputes. Disputes

are merely a by-product of conflict. They are the outward articulation of conflict. Typical disputes come in the form of formal court cases, grievances, arguments, threats and counter threats etc. Conflict can exist without disputes, but disputes do not exist without conflict. Conflict, however, might not be so easily noticed. Much conflict exists in every workplace without turning into disputes.

The first step in uncovering workplace conflict is to consider the typical sources of conflict. There are a variety of sources of workplace conflict including interpersonal, organizational, change related, and external factors.

Interpersonal

Interpersonal conflict is the most apparent form of conflict for workplace participants. It is easy enough to observe the results of office politics, gossip, and rumors. Also language and personality styles often clash, creating a great deal of conflict in the workplace. In many workplaces there are strong ethno-cultural and racial sources of conflict as well as gender conflict. This may lead to charges of harassment and discrimination or at least the feeling that such things exist.

People often bring their stresses from home into the office leading to further conflict. An additional source of workplace conflict can be found in varying ideas about personal success. The strong drive for work related achievement in some participants can clash with participants who do not emphasize work-related success in their lives.

Organizational

There are a number of organizational sources of conflict. Those relating to hierarchy and the inability to resolve conflicting interests are quite predominant in most workplaces. Labour/management and supervisor/employee tensions are heightened by power differences. Differences in supervisory styles between departments can be a cause of conflict. Also there can be work style clashes, seniority/juniority and pay equity conflict. Conflict can arise over resource allocation, the distribution of duties, workload and benefits, different levels of tolerance for risk

taking, and varying views on accountability. In addition, conflict can arise where there are perceived or actual differences in treatment between departments or groups of employees.

A thorough review of the workplace is suggested for such sources of conflict. Again surveys, interviews and focus groups can help reveal these sources of conflict. Additionally, organizational sources of conflict can be predicted based upon best practices from similar organizations. All organizations experience such conflict. Much can be learned from the lessons of similar organizations that have made a study of this source of conflict.

Trends/Change

The modern workplace has significant levels of stress and conflict related to change-management and downsizing. Technological change can cause conflict, as can change work methodologies. Many workplaces suffer from constant reorganization, leading to further stress and conflict. In line with reorganization, many public and non-profit organizations suffer from downloading of responsibilities from other organizations.

Workplace analysts should review the history of the particular organization, reaching back as far as 10 years to determine the level of churn that has taken place. Generally speaking, the more change and the more recent the change, the more likely there will be significant conflict.

External Factors

External factors can also lead to conflict in the workplace. Economic pressures are caused by recession, changing markets, domestic and foreign competition, and the effects of Free Trade between countries. Conflict arises with clients and suppliers effecting customer service and delivery of goods. Also public and non-profit workplaces in particular can face political pressures and demands from special interest groups. A change in government can have a tremendous impact, especially on public and non-profit organizations. Funding levels for workplaces dependent upon government funding can change dramatically. Public ideologies can have an impact on the way employees are treated and viewed in such organizations.

To look for external factors of conflict, have a review of the relationships between the subject organization and other organizations. Companies or government departments that have constant relationships with outside organizations will find this to be a major source of conflict for workplace participants.

5.4. Conflict Outcomes

One of the most common outcomes of conflict is that it upsets parties in the short run. However, conflict can have both positive and negative outcomes. On the positive side, conflict can result in greater creativity or better decisions. For example, as a result of a disagreement over a policy, a manager may learn from an employee that newer technologies help solve problems in an unanticipated new way.

Positive outcomes include the following:

- Consideration of a broader range of ideas, resulting in a better, stronger idea
- Surfacing of assumptions that may be inaccurate
- Increased participation and creativity
- Clarification of individual views that build learning

On the other hand, conflict can be dysfunctional if it is excessive or involves personal attacks or underhanded tactics.

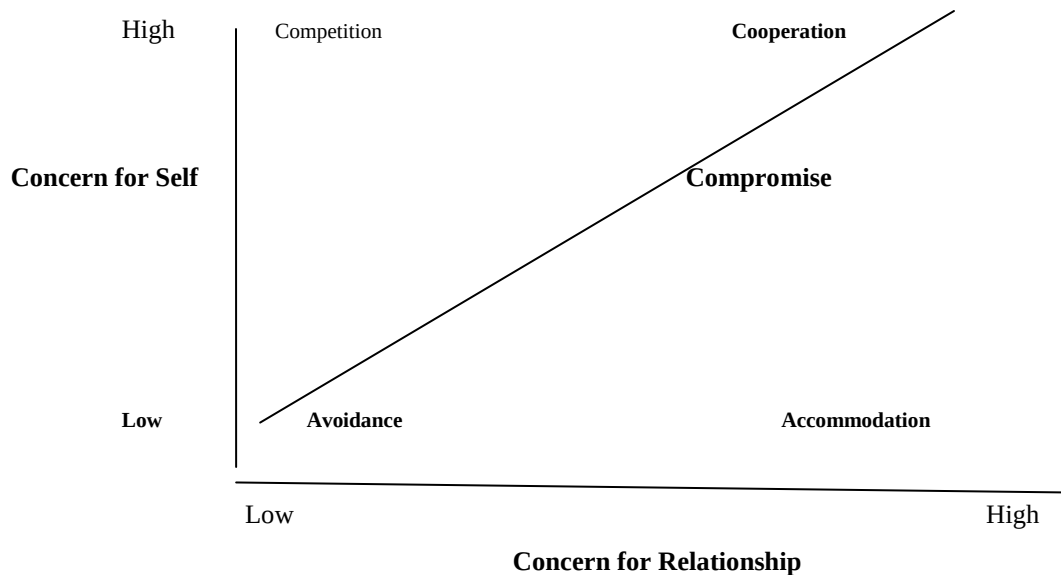
Examples of negative outcomes include the following:

- Increased stress and anxiety among individuals, which decreases productivity and satisfaction
- Feelings of being defeated and demeaned, which lowers individuals' morale and may increase turnover
- A climate of mistrust, which hinders the teamwork and cooperation necessary to get work done

5.5. Conflict Management

Different Behaviors in Conflict Handling/ styles of conflict handling

1. **Avoidance - Lose & Lose:** “Neither you nor I satisfy our needs.” Party A does not value either his/her own or Party B’s interests and needs very highly, and/or denies that there is conflict.
2. **Giving in / Accommodate - Lose & Win:** “I satisfy your needs at my expense.” Party A does not value his/her own ideas and interests very highly, but places a high value on those of Party B (or the common goal).
3. **Competition - Win & Lose :** “I satisfy my needs at your expense.” Party A places a very high value on his/her own opinions and desires, and very little on those of Party B
4. **Compromise - $\frac{1}{2}$ Win & $\frac{1}{2}$ Win :** “I give up some of my needs to satisfy The basic premise is that the parties you, and you give up some of your differences can not be reconciled and needs to satisfy me.” must therefore be traded off
5. **Co-operation - Win & Win:** “We discover new, creative (and some- Full value is placed on both parties’ interests, times even healing) ways to satisfy views and desires. Both parties appreciate each both of our very important needs and strive for consensus, i.e. agreement on the chosen course of action. In this way both parties feel satisfied, because their needs are met and the relationship is strengthened.



In other context, Conflict Management styles can be seen as:

Individuals vary in the way that they handle conflicts. There are five common styles of handling conflicts. These styles can be mapped onto a grid that shows the varying degree of cooperation and assertiveness each style entails. Let us look at each in turn.

Avoidance

The avoiding style is uncooperative and unassertive. People exhibiting this style seek to avoid conflict altogether by denying that it is there. They are prone to postponing any decisions in which a conflict may arise. People using this style may say things such as, “I don’t really care if we work this out,” or “I don’t think there’s any problem. I feel fine about how things are.” Conflict avoidance may be habitual to some people because of personality traits such as the need for affiliation. While conflict avoidance may not be a significant problem if the issue at hand is trivial, it becomes a problem when individuals avoid confronting important issues because of a dislike for conflict or a perceived inability to handle the other party’s reactions.

Accommodation

The accommodating style is cooperative and unassertive. In this style, the person gives in to what the other side wants, even if it means giving up one’s personal goals. People who use this style may fear speaking up for themselves or they may place a higher value on the relationship, believing that disagreeing with an idea might be hurtful to the other person. They will say things such as, “Let’s do it your way” or “If it’s important to you, I can go along with it.” Accommodation may be an effective strategy if the issue at hand is more important to others compared to oneself. However, if a person perpetually uses this style, that individual may start to see that personal interests and well-being are neglected.

Compromise

The compromising style is a middle-ground style, in which individuals have some desire to express their own concerns and get their way but still respect the other person’s goals. The compromiser may say things such as, “Perhaps I ought to reconsider my initial position” or “Maybe we can both agree to give in a little.” In a compromise, each person sacrifices something valuable to them. For example, in 2005 the luxurious Lanesborough Hotel in London advertised incorrect nightly rates for £35, as opposed to £350. When the hotel received a large number of online bookings at this rate, the initial reaction was to insist that customers cancel their

reservations and book at the correct rate. The situation was about to lead to a public relations crisis. As a result, they agreed to book the rooms at the advertised price for a maximum of three nights, thereby limiting the damage to the hotel's bottom line as well as its reputation.

Competition

People exhibiting a competing style want to reach their goal or get their solution adopted regardless of what others say or how they feel. They are more interested in getting the outcome they want as opposed to keeping the other party happy, and they push for the deal they are interested in making. Competition may lead to poor relationships with others if one is always seeking to maximize their own outcomes at the expense of others' well-being. This approach may be effective if one has strong moral objections to the alternatives or if the alternatives one is opposing are unethical or harmful.

Collaboration

The collaborating style is high on both assertiveness and cooperation. This is a strategy to use for achieving the best outcome from conflict—both sides argue for their position, supporting it with facts and rationale while listening attentively to the other side. The objective is to find a win-win solution to the problem in which both parties get what they want. They'll challenge points but not each other.

They'll emphasize problem solving and integration of each other's goals. For example, an employee who wants to complete an MBA program may have a conflict with management when he wants to reduce his work hours. Instead of taking opposing positions in which the employee defends his need to pursue his career goals while the manager emphasizes the company's need for the employee, both parties may review alternatives to find an integrative solution. In the end, the employee may decide to pursue the degree while taking online classes, and the company may realize that paying for the employee's tuition is a worthwhile investment. This may be a win-win solution to the problem in which no one gives up what is personally important, and every party gains something from the exchange.

Which Style Is Best?

Like much of organizational behavior, there is no one "right way" to deal with conflict. Much of the time it will depend on the situation. However, the collaborative style has the potential to be highly effective in many different situations.

We do know that most individuals have a dominant style that they tend to use most frequently. Think of your friend who is always looking for a fight or your coworker who always backs down from a disagreement. Successful individuals are able to match their style to the situation. There are times when avoiding a conflict can be a great choice. For example, if a driver cuts you off in traffic, ignoring it and going on with your day is a good alternative to “road rage.”

However, if a colleague keeps claiming ownership of your ideas, it may be time for a confrontation. Allowing such intellectual plagiarism to continue could easily be more destructive to your career than confronting the individual. Research also shows that when it comes to dealing with conflict, managers prefer forcing, while their subordinates are more likely to engage in avoiding, accommodating, or compromising. It is also likely that individuals will respond similarly to the person engaging in conflict. For example, if one person is forcing, others are likely to respond with a forcing tactic as well.

There are also a number of different ways of managing organizational conflict, which are highlighted in this section. Conflict management refers to resolving disagreements effectively.

Activity 13: How would you manage conflict? _____

Ways to Manage Conflict

1. Change the Structure

When structure is a cause of dysfunctional conflict, structural change can be the solution to resolving the conflict. Consider this situation. Vanessa, the lead engineer in charge of new product development, has submitted her components list to Tom, the procurement officer, for purchasing. Tom, as usual, has rejected two of the key components, refusing the expenditure on the purchase. Vanessa is furious, saying, “Every time I give you a request to buy a new part, you fight me on it. Why can’t you ever trust my judgment and honor my request?”

Tom counters, “You’re always choosing the newest, leading-edge parts—they’re hard to find and expensive to purchase. I’m supposed to keep costs down, and your requests always break my budget.”

“But when you don’t order the parts we need for a new product, you delay the whole project,” Vanessa says.

Sharon, the business unit’s vice president, hits upon a structural solution by stating, “From now on, both of you will be evaluated on the total cost and the overall performance of the product. You need to work together to keep component costs low while minimizing quality issues later on.” If the conflict is at an intergroup level, such as between two departments, a structural solution could be to have those two departments report to the same executive, who could align their previously incompatible goals.

1. Change the Composition of the Team

If the conflict is between team members, the easiest solution may be to change the composition of the team, separating the personalities that were at odds. In instances in which conflict is attributed to the widely different styles, values, and preferences of a small number of members, replacing some of these members may resolve the problem. If that’s not possible because everyone’s skills are needed on the team and substitutes aren’t available, consider a physical layout solution. Research has shown that when known antagonists are seated directly across from each other, the amount of conflict increases. However, when they are seated side by side, the conflict tends to decrease.

1. Create a Common Opposing Force

Group conflict within an organization can be mitigated by focusing attention on a common enemy such as the competition. For example, two software groups may be vying against each other for marketing dollars, each wanting to maximize advertising money devoted to their product. But, by focusing attention on a competitor company, the groups may decide to work together to enhance the marketing effectiveness for the company as a whole. The “enemy” need not be another company—it could be a concept, such as a recession, that unites previously warring departments to save jobs during a downturn.

2. Consider Majority Rule

Sometimes a group conflict can be resolved through majority rule. That is, group members take a vote, and the idea with the most votes is the one that gets implemented. The majority rule approach can work if the participants feel that the procedure is fair. It is important to keep in mind that this strategy will become ineffective if used repeatedly with the same members

typically winning. Moreover, the approach should be used sparingly. It should follow a healthy discussion of the issues and points of contention, not be a substitute for that discussion.

3. Problem Solving

Problem solving is a common approach to resolving conflict. In problem-solving mode, the individuals or groups in conflict are asked to focus on the problem, not on each other, and to uncover the root cause of the problem. This approach recognizes the rarity of one side being completely right and the other being completely wrong.

Mediation

One way to mold conflict into a positive experience is to use **mediation**. Mediation is a way to take control of conflict by using a facilitator or mediator to help the parties communicate their issues. During mediation, the parties are still held responsible to present facts and come to a resolution. The mediator helps facilitate the communication and adds clarification to both sides. In the instance of the nuclear power plant, mediation could have helped both parties express their sides. Perhaps the community would have convinced Hearts Development to spend additional money on safety and improvements to avoid the catastrophe.

The difference between functional and dysfunctional conflict is that functional serves a purpose in the organization such as the interest and dysfunctional serves no purpose but to threaten the organization. The five antecedents of conflict are the “overlapping or unclear job boundaries, inadequate communication, unreasonable or unclear policies standards or rules, unreasonable deadlines or extreme time pressure, and competition for limited resources”.

Overlapping or unclear job boundaries are very common in the workplace.

Inadequate communication can be harmful to a company. Employees and management need to communicate for the organization to be successful. For example, Employees have not to go to management for information. Information should be sent out to all employees. This would have been effective communication.

What If You Don't Have Enough Conflict Over Ideas?

Part of effective conflict management is knowing when proper stimulation is necessary. Many people think that conflict is inherently bad—that it undermines goals or shows that a group or meeting is not running smoothly. In fact, if there is no conflict, it may mean that people are silencing themselves and withholding their opinions. The reality is that within meaningful group

discussions there are usually varying opinions about the best course of action. If people are suppressing their opinions, the final result may not be the best solution.

During healthy debates, people point out difficulties or weaknesses in a proposed alternative and can work together to solve them. The key to keeping the disagreement healthy is to keep the discussion focused on the task, not the personalities. For example, a comment such as “Jack’s ideas have never worked before. I doubt his current idea will be any better” is not constructive. Instead, a comment such as “This production step uses a degreaser that’s considered a hazardous material. Can we think of an alternative degreaser that’s nontoxic?” is more productive. It challenges the group to improve upon the existing idea.

There have been many styles of conflict management behavior that have been researched in the past century. One of the earliest, Mary Parker Follett (1926/1940) found that conflict was managed by individuals in three main ways: domination, compromise, and integration. She also found other ways of handling conflict that were employed by organizations, such as avoidance and suppression.

Early conflict management models

Blake and Mouton (1964) were among the first to present a conceptual scheme for classifying the modes (styles) for handling interpersonal conflicts in five types: forcing, withdrawing, smoothing, compromising, and problem solving.

In the 1970s and 1980s, researchers began using the intentions of the parties involved to classify the styles of conflict management that they would include in their models. Both Thomas (1976) and Pruitt (1983) put forth a model based on the concerns of the parties involved in the conflict. The combination of the parties concern for their own interests (i.e. assertiveness) and their concern for the interests of those across the table (i.e. cooperativeness) would yield a particular conflict management style. Pruitt called these styles yielding (low assertiveness/high cooperativeness), problem solving (high assertiveness/high cooperativeness), inaction (low assertiveness/low cooperativeness), and contending (high assertiveness/low cooperativeness). Pruitt argues that problem-solving is the preferred method when seeking mutually beneficial options (win-win).

Khun and Poole's model

Khun and Poole (2000) established a similar system of group conflict management. In their system, they split Kozan's confrontational model into two sub models: distributive and integrative.

- Distributive - Here conflict is approached as a distribution of a fixed amount of positive outcomes or resources, where one side will end up winning and the other losing, even if they do win some concessions.
- Integrative - Groups utilizing the integrative model see conflict as a chance to integrate the needs and concerns of both groups and make the best outcome possible. This model has a heavier emphasis on compromise than the distributive model. Khun and Poole found that the integrative model resulted in consistently better task related outcomes than those using the distributive model.

De Church and Marks's meta-taxonomy

De Church and Marks (2001) examined the literature available on conflict management at the time and established what they claimed was a "meta-taxonomy" that encompasses all other models. They argued that all other styles have inherent in them into two dimensions - activeness ("the extent to which conflict behaviors make a responsive and direct rather than inert and indirect impression") and agreeableness ("the extent to which conflict behaviors make a pleasant and relaxed rather than unpleasant and strain full impression"). High activeness is characterized by openly discussing differences of opinion while fully going after their own interest. High agreeableness is characterized by attempting to satisfy all parties involved

In the study they conducted to validate this division, activeness did not have a significant effect on the effectiveness of conflict resolution, but the agreeableness of the conflict management style, whatever it was, did in fact have a positive impact on how groups felt about the way the conflict was managed, regardless of the outcome.

Rahim's meta-model

Rahim (2002) noted that there is agreement among management scholars that there is no one best approach to how to make decisions, lead or manage conflict. In a similar vein, rather than creating a very specific model of conflict management, Rahim created a meta-model for conflict styles based on two dimensions, concern for self and concern for others.

Within this framework are five management approaches: integrating, obliging, dominating, avoiding, and compromising. Integration involves openness; exchanging information, looking for alternatives, and examining differences so solve the problem in a manner that is acceptable to both parties. Obliging is associated with attempting to minimize the differences and highlight the commonalities to satisfy the concern of the other party. When using the dominating style one party goes all out to win his or her objective and, as a result, often ignores the needs and expectations of the other party. When avoiding a party fails to satisfy his or her own concern as well as the concern of the other party. Lastly, compromising involves give-and-take whereby both parties give up something to make a mutually acceptable decision.

International conflict management

Special consideration should be paid to conflict management between two parties from distinct cultures. In addition to the everyday sources of conflict, "misunderstandings, and from this counterproductive, pseudo conflicts, arise when members of one culture are unable to understand culturally determined differences in communication practices, traditions, and thought processing."

Indeed, this has already been observed in the business research literature. Renner (2007) recounted several episodes where managers from developed countries moved to less developed countries to resolve conflicts within the company and met with little success due to their failure to adapt to the conflict management styles of the local culture.

As an example, in Kozan's study noted above, he noted that Asian cultures are far more likely to use a harmony model of conflict management. If a party operating from a harmony model comes in conflict with a party using a more confrontational model, misunderstandings above and beyond those generated by the conflict itself will arise.

International conflict management, and the cultural issues associated with it, is one of the primary areas of research in the field at the time, as existing research is insufficient to deal with the ever increasing contact occurring between international entities.

5.6. Analysis of the Conflict Situation

If the most important skill of a good Civil Affairs Officer were to be defined, it would most likely be his/her ability to understand the context in which s/he is deployed and to analyze the conflict dynamics that undermine the peace process. Conflict analysis is not the prerogative of a few analysts in JMAC or political affairs, but is the responsibility of every Civil Affairs Officer, whose analysis at the field level is often the basis for much of the overall conflict analysis carried out at the mission headquarters.

If the basic facts and the interpretation of the local conflict dynamics are inaccurate, the overarching strategy of the mission to fulfill its mandate is likely to be misdirected. It is clear that understanding and analyzing the conflict is not a goal in itself, but instead a means to defining a strategy that can address the dynamics of the conflict and help to set the peace and stabilization process on solid ground. Civil affairs activities, like any activity, should be planned in such a way that feasible objectives are set out in advance based on clear analysis.

Civil affairs will clearly not be the only actor within the mission conducting conflict analysis, and it will not be the main one at the national level. However, analysis from the local level will feed into a complex stream of analysis by different internal and external actors within a post-conflict mission environment, sometimes carried out collaboratively and sometimes in parallel with each other.

Civil Affairs Officers need to be aware of these analyses, especially the higher order analysis (for example, in an Integrated Strategic Framework) underpinning the mission mandate implementation strategy. If available and of good quality, higher order analysis can be a good starting point for civil affairs; however, general assumptions need to be tested in the field at the local level – and then fed back up. It makes sense for the civil affairs component, and also the units and field teams within the component, to carry out and maintain their own conflict analysis for the following reasons:

- To ensure a sufficient level of detail (for example about dynamics at the local level and between the local and national levels);
- To feed into and help refine the higher order analysis;
- To provide a reference framework to guide ongoing civil affairs reporting and analysis; a
- To provide the foundation for the development of strategic plans, as well as for updating them based on new information or an evolving understanding of the situation.

There are many different ways to conduct and write down an analysis. In any case, making the analysis explicit – rather than just assuming that everyone shares the same understanding – is extremely important in ensuring that everyone involved in implementing the plan understands it in the same way. The actual “process” of jointly conducting a conflict analysis and planning exercise, for example at the component annual retreat, can also be an excellent way of ensuring that everyone is on the same page. A shared analysis of the conflict overall is a good reference point for individual Civil Affairs Officers or teams to carry out a more in-depth analysis of a particular issue, and to analyze the meaning or relevance of specific events or incidents as they occur.

Lessons learned on conflict analysis

There are many different ways to approach conflict analysis. The section on analysis in this Handbook draws heavily on the lessons learned through the Reflecting on Peace Practice Project (RPP), which is an experience-based learning process involving agencies with programs that attempt to prevent or mitigate violent conflict. This section reproduces material from the RPP manual, with their permission, but adapted for civil affairs purposes.

The RPP process revealed that there was no consistent practice or accepted methodology for conducting conflict analysis. Certain trends were noted, however:

Practitioners often do only partial analysis.

They focus on how their particular approach or area of interest might fit or be useful in the context, which can lead them to miss important aspects of the conflict or to develop misguided or irrelevant programs.

Many people carry out context analysis, believing it to be conflict analysis. A context analysis seeks a broad understanding of the entire political, economic and social (historical, environmental etc.) scene. A conflict analysis is more narrowly focused on the specific elements of that broader picture that may trigger or propel conflict.

Analysis is not updated. Analyses are often performed only at the beginning of the program and there is a lack of ongoing analysis, other than the natural process of noting events and changes. Programming is not linked to analysis.

In a seeming contradiction, RPP found clear link between a program's effectiveness and whether or how it had performed conflict analysis. One explanation is that even when practitioners do analysis, they often fail to link their program strategy to it. It is also important to note that even good analysis may not guarantee effectiveness given that there are many factors that cannot be controlled.

Many people work on the basis of an implicit analysis, often based on their deep experience of a situation. Some programs – often effective ones – are grounded in an informal analysis that draws on the long experience of local people, or long- time observers of a conflict. Analysis may be constantly updated, as individuals move about and talk with many different people. The downside of this approach can be a lack of shared understanding among teams or within an organization.

Therefore, efforts to make the implicit more explicit and to share observations are usually valuable.

Elements of good conflict analysis

While the research did not find agreement regarding any particular methodology or framework for analysis, it did identify several shortcomings of existing methods and was able to identify elements of analysis that, if not addressed, lessen the effectiveness of programming.

This included:

- Too comprehensive:

Many of the frameworks for analysis aim to be comprehensive, but do not help to identify which factors are the most important. As a result, they do not help practitioners to identify priorities and focus on factors that are important to the conflict dynamic. The lists of factors can be overwhelming!

- Lists without dynamics:

Conflict analysis tools tend to present a static snapshot, often in the form of a list of factors, without much sense of how the factors work together. The dynamics of conflict are missing.

- No linkage to strategy.

Analysis processes and results remain disconnected from program strategies. Even good analysis processes do not enable people to identify what to do about the situation.

- Biased and narrow.

Analyses tend to be performed by single agencies, in order to justify the agencies' favorite approach or methodology (dialogues, trauma healing etc.) or sector (for example, women, youth), without much sense of whether these approaches are the most effective or the best use of scarce funding resources for peace building

5.7. Conflict Stimulation

How Can You Stimulate Conflict?

- Encourage people to raise issues and disagree with you or the status quo without fear of reprisal. An issue festering beneath the surface, when brought out into the open, may turn out to be a minor issue that can be easily addressed and resolved.
- Assign a devil's advocate to stimulate alternative viewpoints. If a business unit is getting stagnant, bring in new people to "shake things up."

- Create a competition among teams, offering a bonus to the team that comes up with the best solution to a problem. For example, have two product development teams compete on designing a new product. Or, reward the team that has the fewest customer complaints or achieves the highest customer satisfaction rating.
- Build some ambiguity into the process. When individuals are free to come up with their own ideas about how to complete a task, the outcome may be surprising, and it allows for more healthy disagreements along the way.

5.8. Conflict Resolution

Conflict arises from differences. It occurs whenever people disagree over their values, motivations, perceptions, ideas, or desires. Sometimes these differences look trivial, but when a conflict triggers strong feelings, a deep personal and relational need is at the core of the problem—a need to feel safe and secure, a need to feel respected and valued, or a need for greater closeness and intimacy.

Recognizing and resolving conflicting needs

If you are out of touch with your feelings or so stressed that you can only pay attention to a limited number of emotions, you won't be able to understand your own needs. If you don't understand your deep seated needs, you will have a hard time communicating with others and staying in touch with what is really troubling you. For example, couples often argue about petty differences—the way she hangs the towels, the way he parts his hair—rather than what is really bothering them.

In personal relationships, a lack of understanding about differing needs can result in distance, arguments, and breakups.

In workplace conflicts, differing needs are often at the heart of bitter disputes. When you can recognize the legitimacy of conflicting needs and become willing to examine them in an environment of compassionate understanding, it opens pathways to creative problem solving, team building, and improved relationships. When you resolve conflict and disagreement quickly and painlessly, mutual trust will flourish.

Successful conflict resolution depends on your ability to:

- **Manage stress while remaining alert and calm.** By staying calm, you can accurately read and interpret verbal and nonverbal communication.
- **Control your emotions and behavior.** When you're in control of your emotions, you can communicate your needs without threatening, frightening, or punishing others
- **Pay attention to the feelings being expressed** as well as the spoken words of others.
- **Be aware of and respectful of differences.** By avoiding disrespectful words and actions, you can resolve the problem faster.

Healthy and unhealthy ways of managing and resolving conflict

Conflict triggers strong emotions and can lead to hurt feelings, disappointment, and discomfort. When handled in an unhealthy manner, it can cause irreparable rifts, resentments, and breakups. But when conflict is resolved in a healthy way, it increases our understanding of one another, builds trust, and strengthens our relationship bonds.

Unhealthy responses to conflict are characterized by:

- An inability to recognize and respond to matters of great importance to the other person
- Explosive, angry, hurtful, and resentful reactions
- The withdrawal of love, resulting in rejection, isolation, shaming, and fear of abandonment
- The expectation of bad outcomes
- The fear and avoidance of conflict

Healthy responses to conflict are characterized by:

- The capacity to recognize and respond to important matters
- A readiness to forgive and forget
- The ability to seek compromise and avoid punishing
- A belief that resolution can support the interests and needs of both parties

Four key conflict resolution skills

The ability to successfully manage and resolve conflict depends on four key skills. Together, these four skills form a fifth skill that is greater than the sum of its parts: the ability to take conflict in stride and resolve differences in ways that build trust and confidence.

Conflict resolution skill 1: Quickly relieve stress

The capacity to remain relaxed and focused in tense situations is a vital aspect of conflict resolution. If you don't know how to stay centered and in control of yourself, you may become emotionally overwhelmed in challenging situations. The best way to rapidly and reliably relieve stress is through the senses: sight, sound, touch, taste, and smell. But each person responds differently to sensory input, so you need to find things that are soothing to you.

Conflict resolution skill 2: Recognize and manage your emotions.

Emotional awareness is the key to understanding yourself and others. If you don't know how you feel or why you feel that way, you won't be able to communicate effectively or smooth over disagreements. Although knowing your own feelings may seem simple, many people ignore or try to sedate strong emotions like anger, sadness, and fear. But your ability to handle conflict depends on being connected to these feelings. If you're afraid of strong emotions or if you insist on finding solutions that are strictly rational, your ability to face and resolve differences will be impaired.

Conflict resolution skill 3: Improve your nonverbal communication skills

The most important information exchanged during conflicts and arguments is often communicated nonverbally. Nonverbal communication includes eye contact, facial expression, tone of voice, posture, touch, and gestures. When you're in the middle of a conflict, paying close attention to the other person's nonverbal signals may help you figure out what the other person is really saying, respond in a way that builds trust, and get to the root of the problem.

Simply nonverbal signals such as a calm tone of voice, a reassuring touch, or a concerned facial expression can go a long way toward defusing a heated exchange.

Conflict resolution skill 4: Use humor and play to deal with challenges

You can avoid many confrontations and resolve arguments and disagreements by communicating in a playful or humorous way. Humor can help you say things that might otherwise be difficult to express without creating a flap. However, it's important that you laugh *with* the other person, not *at* them. When humor and play are used to reduce tension and anger, reframe problems, and put the situation into perspective, the conflict can actually become an opportunity for greater connection and intimacy.

Tips for managing and resolving conflict

Managing and resolving conflict requires emotional maturity, self-control, and empathy. It can be tricky, frustrating, and even frightening. You can ensure that the process is as positive as possible by sticking to the following conflict resolution guidelines:

- **Make the relationship your priority.** Maintaining and strengthening the relationship, rather than “winning” the argument, should always be your first priority. Be respectful of the other person and his or her viewpoint.
- **Focus on the present.** If you're holding on to old hurts and resentments, your ability to see the reality of the current situation will be impaired. Rather than looking to the past and assigning blame, focus on what you can do in the here and now to solve the problem.
- **Pick your battles.** Conflicts can be draining, so it's important to consider whether the issue is really worthy of your time and energy. Maybe you don't want to surrender a parking space if you've been circling for 15 minutes. But if there are dozens of spots, arguing over a single space isn't worth it.
- **Be willing to forgive.** Resolving conflict is impossible if you're unwilling or unable to forgive. Resolution lies in releasing the urge to punish, which can never compensate for our losses and only adds to our injury by further depleting and draining our lives.
- **Know when to let something go.** If you can't come to an agreement, agree to disagree. It takes two people to keep an argument going. If a conflict is going nowhere, you can choose to disengage and move on.

5.9. Interpersonal Relations Management

Interpersonal relationship refers to a strong association between individuals sharing common interests and goals. A strong bond between two or more people refers to interpersonal relationship.

Attraction between individuals brings them close to each other and eventually results in a strong interpersonal relationship. A sense of trust, loyalty and commitment is essential in a relationship. Interpersonal relationships require the most effort to nurture and maintain. These are also the relationships that give you the most joy and satisfaction.

Interpersonal relationships are formed in the context of social, cultural and other influences. The context can vary from family or kinship relations, friendship, marriage, relations with associates, work, clubs, neighborhoods, and places of worship. They may be regulated by law, custom, or mutual agreement, and are the basis of social groups and society as a whole.

An interpersonal relationship can develop between any of the following:

- Individuals working together in the same organization.
- People working in the same team.
- Relationship between a man and a woman (Love, Marriage).
- Relationship with immediate family members and relatives.
- Relationship of a child with his parents.
- Relationship between friends.

– **Activity 14:** Why do we establish relationships? _____

Dear student, from the moment of birth, human beings depend on others to satisfy their basic needs. Through this, children come to associate close personal contact with the satisfaction of basic needs. Later in life, we continue to seek personal contact for the same reason, even though we know we are capable of fling our own needs without relying on others for survival. Also,

being around others becomes a habit and the basic physical needs of infancy expand to include emotional and social needs as well. These can include the needs for praise, respect, affection, love, achievement, and so on. ***It is these needs which are acquired through social learning that motivate us as humans to seek relationships with people*** who can satisfy our needs throughout our lives.

Benefits of satisfying relations

Good relationships require management, effort, and attention, but the investment pays off in many ways. Special bonds with other people are important for both mental and physical health. Research supports the idea that if we have strong, caring relationships with others, we are more likely to be healthy and live longer. Satisfying relationships with family and friends promote career success and we feel more protected as well as happy. Poor relations, on the other hand, may promote depression, drug abuse, weight problems, and other mental health problems.

Must have in an Interpersonal Relationship

- Individuals in an interpersonal relationship must share common goals and objectives. They should have more or less similar interests and think on the same lines. It is always better if individuals come from similar backgrounds.
- Individuals in an interpersonal relationship must respect each other's views and opinions. A sense of trust is important.
- Individuals must be attached to each other for a healthy interpersonal relationship.
- Transparency plays a pivotal role in interpersonal relationship. It is important for an individual to be honest and transparent.

Stages in Interpersonal Relationships

Interpersonal relationships are dynamic systems that change continuously during their existence. Like living organisms, relationships have a beginning, a lifespan, and an end. They grow and improve gradually, as people get to know each other and become closer emotionally, or they gradually deteriorate as people drift apart, move on with their lives, and form new relationships with others.

According to famous psychologist George Levinger, every relationship goes through following five stages.

1. First Stage – Acquaintance

Acquaintance refers to knowing each other. To start relationship individuals need to know each other well.

Two individuals might meet at some place and instantly hit it off. People feel attracted to each other and decide to enter into a relationship.

Common friends, social gatherings, same organizations also help people meet, break the ice, get acquainted with each other and start a relationship.

2. Second Stage – The Build up Stage

This is the stage when the relationship actually grows. Individuals are no longer strangers and start trusting each other.

Individuals must be compatible with each other for the relationship to continue for a longer period of time. Individuals with similar interests and backgrounds tend to gel with each other more as compared to individuals from diverse backgrounds and different objectives.

The build up stage in a relationship is often characterized by two individuals coming close, being passionate and feeling for each other.

3. Third Stage – Continuation Stage

This is the stage when relationship blossoms into lasting commitments. It is when people after knowing each other well decide to be in each other's company and tie the knot.

Trust and transparency is essential for the charm to stay in relationship forever.

4. Fourth Stage – Deterioration

Not all relationships pass through this stage. Lack of compatibility, trust, love and care often lead to misunderstandings and serious troubles in relationship.

Individuals sometimes find it extremely difficult to adjust with each other and eventually decide to bring their relationship to an end.

Compromise is an integral part of every relationship. Individuals failing to compromise with each other find it difficult to take the relationship to the next level.

5. Fifth Stage – The Termination Stage

The fifth and the last stage is the end of a relationship.

Factors Affecting Interpersonal Relationship

2. Compatibility

Two individuals in a relationship must be compatible with each other. There should be no scope of conflicts and misunderstandings in a relationship. Individuals from similar backgrounds and similar goals in life do extremely well in relationships. People with different aims, attitudes, thought processes find it difficult to adjust and hence fail to carry the relationship to the next level.

1. Communication

Communication plays a pivotal role in all types of relationships whether it is personal or professional. Feelings must be expressed and reciprocated in relationships. Individuals need to communicate with each other effectively for better understanding. Do not stay mum as it leads to problems and misunderstandings. Two people in love must interact with each other on a regular basis through various modes of communication such as telephone, emails, letters (though exchanging letter is now considered an outdated form of communication). Staying in touch is essential for the love to grow especially in long distance relationships where individuals can't meet quite often.

In professional relationships as well, colleagues must communicate well for a better bonding. Sit with your co workers and discuss issues face to face to reach to a mutually acceptable solution.

The recipient must understand what the sender intends to communicate and vice a versa. Clarity of thoughts is essential in relationships.

2. Honesty

Be honest in relationships. Do not lie or hide things from your partner. Remember every problem has a solution. Think before you speak. Transparency is important in relationships.

3. Stay calm

Do not overreact on petty things in relationships. Stay calm. Be a little more adjusting. Be the first one to say “Sorry”. It will solve half of your problems.

4. Forgiving

An individual needs to be a little more forgiving in relationships. Do not drag issues unnecessarily. Fighting over small issues is foolish and makes the situation all the more worse.

5. Smile

As they say “Smile is a curve that makes everything straight.” Flash your smile more often. It works. Take care of your facial expressions while interacting with the other person.

6. Time

Time plays an important role in relationships. Individuals in love must spend adequate time to know each other better. Frustrations arise when people do not have time to meet or interact with each other. Even in organization, individuals must spend quality time with their co workers to strengthen the bond amongst themselves. Married couples must take time out for each other for the charm to stay in relationship forever.

Make the other person feel important. Appreciate your partner whenever he/she does something for you. Praise him/her in front of others.

Every relationship needs time and an individual’s effort to grow. Sit with your partner and try to sort out the differences amicably. Don’t be too rigid.

Summary

Conflict is an issue between two or more parties who have (or think they have) incompatible goals or ideas and it is a short-term disagreement. Conflict occurs when there is a perception of incompatible interests between workplace participants. There are a variety of sources of workplace conflict including interpersonal, organizational, change related, and external factors.

There are two types of conflict that can occur within a company are functional and dysfunctional. Functional conflict is healthy, constructive disagreement between groups or individuals, while dysfunctional conflict is unhealthy disagreement that occurs between groups or individuals.

Conflict can have both positive and negative outcomes. On the positive side, conflict can result in greater creativity or better decisions. On the other hand, conflict can be dysfunctional if it is excessive or involves personal attacks or underhanded tactics.

There have been many styles of conflict management behavior that have been researched in the past century: The combination of the parties concern for their own interests (i.e. assertiveness) and their concern for the interests of those across the table (i.e. cooperativeness) would yield a particular conflict management style.

It is clear that understanding and analyzing the conflict is not a goal in itself, but instead a means to defining a strategy that can address the dynamics of the conflict and help to set the peace and stabilization process on solid ground. A context analysis seeks a broad understanding of the entire political, economic and social (historical, environmental etc.) scene.

Successful conflict resolution depends on your ability to:

- Manage stress while remaining alert and calm.
- Control your emotions and behavior.
- Pay attention to the feelings being expressed.
- Be aware of and respectful of differences.

The ability to successfully manage and resolve conflict depends on four key skills.

- Conflict resolution skill 1: Quickly relieve stress
- Conflict resolution skill 2: Recognize and manage your emotions.
- Conflict resolution skill 3: Improve your nonverbal communication skills
- Conflict resolution skill 4: Use humor and play to deal with challenges

Self -Assessment Questions

Say true for correct statements otherwise say false

1. Conflict should be avoided
2. Functional conflict helps an organization to be successful
3. Accommodating style of conflict handling is a win- win strategy
4. Communication can best solve interpersonal conflict

Matching

“A”

“B”

- | | |
|-----------------|--|
| 1. Empathy | A. Showing a respectful attitude |
| 2. Stroking | B. probing questions about what the other person is thinking |
| 3. Exploration | C. put yourself into the shoes of the other person |
| 4. Avoidance | D. causes of conflict |
| 5. Compromising | F. loss- loss strategy |
| 6. Perception | G. win- win strategy |
| | H. Win- loss strategy |

Choose the best answer

1. The ability to successfully manage and resolve conflict depends on the following key skills except:
 - A. Use humor and play to deal with challenges
 - B. Quickly relieve stress
 - C. Recognize and manage your emotions.
 - D. Improve your nonverbal communication skills
 - E. None
2. Which one of the following is true?
 - A. Interpersonal conflict is an inevitable part of relationships
 - B. there is no absolute right or wrong way to handle a conflict

- C. Perception plays an important role in conflict
- D. Culture influences how we engage in conflict
- E. All
- F. None

Discuss the following questions

1. Define conflict
2. List and discuss the basic sources of conflict
3. What are the probable outcomes of conflict
4. What are the five styles of conflict handling? Discuss it.
5. Discuss how conflict may be analyzed
6. Discuss How conflict may be stimulated
7. List and discuss the four skills of Conflict Resolution

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